

SLOVAK REPUBLIC 2014

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1. Overview of the Tax-Benefit system

On 1 January 2004 the following went in to force:

Act No. 599/2003 Coll. on assistance in material need and on amending of some acts (on 1 January 2014 entered into force new act No. 417/2013 Coll. nn assistance in material need and on amending of some acts)

Act No. 461/2003 Coll. on social insurance.

On 1 February 2004: Act No. 5/2004 Coll. on employment service went into force.

On 1 January 2005: Act. No. 43/2004 Coll. on the old-age pension saving system went in to force

Subsystems of social insurance

a) *sickness insurance* as insurance in case of loss or decrease of income from gainful activities and to make sure for an income due to temporary incapacity for work, pregnancy and maternity,

b) *pension insurance*, particularly

1. old-age insurance as insurance to make sure for an income in old age and in case of demise,

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- 2. disability insurance as insurance in case of decrease in ability to carry out gainful activities due to long-term adverse health condition of insuree and in case of demise,
- c) *accident insurance* as insurance in case of damaging the health or demise due to a working accident, service accident (hereinafter referred to only as „working accident“) and occupational disease,
- d) *guarantee insurance* as insurance in case of insolvency of employer to meet claims of employee,
- e) *unemployment insurance* as insurance in case of losing income of employee's activities due to unemployment and to make sure for an income due to unemployment.

Social insurance is carried out by the Social Insurance Agency. The Social Insurance Agency is a public-service organisation established to carry out social insurance.

1.1. *Average Worker wage (AW)*

As from 1.1.2009 Slovakia has joined the Euro zone; the national currency became the Euro (EUR). In 2014 the average worker earned EUR 10 342 (Secretariat estimate).

2. Unemployment Insurance

The employee has mandatory unemployment insurance and self-employed person could be voluntary insured person in unemployment.

The natural person having attained 16 years of age may be voluntarily insured in unemployment, has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic. Conditions of voluntary unemployment insurance are:

- a) the natural person has to be at the same time also voluntarily insured in sickness (voluntary sickness insurance) and voluntarily insured in retirement (voluntary pension insurance) ,
- b) self-employed person who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic and
 1. is compulsory insured in sickness (mandatory sickness insurance) and compulsory insured in retirement (mandatory pension insurance) or
 2. Has interrupted mandatory sickness insurance and mandatory pension insurance of self-employed person (by reason mentioned in the first sentence of Article 26 paragraph 4 of the Act on Social Insurance).

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, for recipients of old-age benefit and early old-age benefit, for recipients of disability benefit who reach pensionable age and for specific categories of employees (prosecutor, etc.). The recipients of disability benefit with the decrease in ability to carry out gainful activities between 41-70% (employees or voluntary insured persons) are covered by unemployment insurance and have the same conditions like other employees until they reach pensionable age. The contribution rate is 1% for employee, 1% for employer and 2% for voluntary insured person.

The payment rate is 50 % of daily assessment basis.

There is no any preference for payment rates or period paid out of benefit depend on the ages or family status of claimant.

2.1 Conditions for receipt

Act on Social Insurance does not define reason of unemployment of insured person that mean same rules are used for redundancy person who has got notice from employer and for person who has given resignation at work.

The most important condition for pay out unemployment benefit is staying in register of jobseekers. According the Act on Employment Services the jobseeker is obligated to cooperate with the Labour Office, active looking for job and available in 3 days' time interval on request of the Labour Office.

2.1.1 Employment conditions

Insuree is entitled to unemployment benefit, if he had unemployment insurance for at least two years within the past three years before being included to registry of unemployed persons looking for employment or for at least two years within the past four years before being included to registry of unemployed persons looking for employment in case of seasonal workers (i.e. workers with term contract). For the insuree, who met conditions of claiming unemployment benefit, the claim to unemployment benefit arises since the day of being included into the registry of unemployed persons.

2.1.2 *Contribution conditions*

The same conditions as introduced in previous article. An eligibility criterion of necessary number of years for unemployment insurance is also applying for voluntary insurance.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

After the law-settled conditions were met the amount of unemployment benefit is 50% of the daily assessment basis. Daily assessment basis (DAB) to determine the amount of unemployment benefit is a quotient of the sum of assessment bases (AB) to pay premiums for unemployment insurance (the sums from which the insurance was paid) attained by the insuree in the conclusive period and the number of days of the conclusive period.

$$\text{DAB} = \frac{\sum \text{AB in determining period}}{\text{number of days of determining period}}$$

Calculation of unemployment benefit in one month:
50% x DAB x number of days in month

The average unemployment benefit paid in 2013 (second half) amounts to EUR 323,35 per month. The average unemployment benefit paid in 2014 (first half) amounts to EUR 323,47 per month.

Since 1st January 2006 the maximum amount of unemployment benefit is not limited by the daily assessment basis and it depends on the sum of premiums that one pays for unemployment insurance. So the sum of the unemployment benefit depends only on the parameters used in the formula for the calculation of this benefit. **However indirectly maximum amount of benefit was in time period 2006-2007 determined by maximum assessment bases for paying contribution. Since 1st January 2012 maximum ceiling was increased from 4-times the average wage in the SR economy to 5-times the average wage in the SR economy. Maximum daily assessment base (MDAB) for calculation of benefit is determined as follows:**

$$\text{MDAB} = \frac{\text{2-times general assessment bases}}{365}$$

Since 1st January 2014 if the daily assessment base determined on the basis of assessment base achieved during maternity leave or parental leave is less than the daily assessment base calculated from the assessment base achieved before commencement of parental leave, for the calculation of unemployment benefits will be used a higher daily assessment base.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

One of conditions of claim to an unemployment benefit is including to registry of unemployed persons looking for employment (register of jobseekers).

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

Insuree is not entitled to disbursement of unemployment benefit in the period of time in which he is entitled for payment of sickness benefits, nursing benefits, maternity allowances and parental allowance.

When the retroactive unemployment benefit is approved also for a period when the beneficiary was paid the material need benefit and the additions to this benefit, the approved unemployment benefit for this period will be reckoned with the material need benefit which has been already paid.

2.4 *Benefit duration and waiting periods*

- Where the unemployment benefit has been paid to the beneficiary for the entire supported period of unemployment (6 months or 4 months for seasonal workers), a new entitlement to this benefit shall arise soonest after the expiration of two years since the day when the preceding entitlement finished after the condition of at least two years of unemployment insurance over the last three years and in case of seasonal workers over the last four years before entry to the Jobseekers Register has been satisfied;
- Where the beneficiary has not been paid unemployment benefit for the entire supported period of unemployment (6 months or 4 months for seasonal workers) and the insured person was discarded from the Jobseekers Register because of the beginning of the activity as the employee and within a period shorter than 2 years, the entitlement to the payment of unemployment benefit shall arise at the amount of the previous unemployment benefit, and shall terminate upon the lapse of the remaining part of the supported period of unemployment;
- Where the beneficiary
 - has been paid unemployment benefit at least 3 months
 - has been put off the Jobseekers Register on account of undertaking the activity of an employee
 - has claimed in written the lump-sum payment of 50% of the unemployment benefit for the remaining part of the supported period

the insuree is entitled to 50 % of the rest of the untaken unemployment benefit.

Social Insurance Agency is obligated to accept every application form regardless of claimant has right on this benefit or not. However first application form on unemployment benefit is sent through the Labour Office as part of registration procedure of new jobseeker. Social Insurance Agency sent in decision the supported period - client knows this reality and he consider if he has any other question (after expired or possibility to continue of pay out benefit) he rather use verbal client information services of Social Insurance Agency.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person, except of recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.)

2.5.2 *Older workers*

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person except of recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.). The insuree must satisfy the statutory conditions (irrespective of whether s/he was insured for unemployment obligatorily or voluntarily).

2.5.3 *Others if applicable*

There are no special rules for lone parents and immigrants.

Unemployment insurance is mandatory also for part-time employees. They have same eligibility criteria for benefit, payment rate and contribution rate such as employees.

For self-employed persons is subsystem of unemployment insurance voluntary. They could become voluntary insured persons.

The natural person having attained 16 years of age may be voluntarily insured in unemployment, who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic.

Conditions of voluntary unemployment insurance are:

- a) the natural person has to be at the same time also voluntarily insured in sickness (voluntary sickness insurance) and voluntarily insured in retirement (voluntary pension insurance) ,
- b) self-employed person who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic and
 1. is compulsory insured in sickness (mandatory sickness insurance) and compulsory insured in retirement (mandatory pension insurance) or
 2. Has interrupted mandatory sickness insurance and mandatory pension insurance of self-employed person (by reason mentioned in the first sentence of Article 26 paragraph 4 of the Act on Social Insurance).

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70% and for recipients of disability benefit who reach pensionable age. (Unemployment insurance does not apply also for recipients of old-age benefit and early old-age benefit and for specific categories of employees (prosecutor, etc.).) The recipients of disability benefit with the decrease in ability to carry out gainful activities between 40-70% (employees or voluntary insured persons) are covered by unemployment insurance until they reach pensionable age and have the same conditions like other employees.

Since November 2013, long term unemployed hired on a low- paid job (67% of the average wage two years ago) in classical forms of employment may be exempted for first 12 months of the employment from social insurance contribution including contribution on unemployment insurance (except accident insurance contribution and guarantee insurance contribution). They are not covered by benefits at that time.

3. Unemployment assistance

Active measures of the labour market provide

- raising employability of job seekers and persons interested in employment through education, preparation for the labour market, professional consultancy, graduate practice, activation activity, movement toward work
- creation of new jobs

The active policy of the labour market in terms of Act No. 5/2004 Coll. on employment service is being realized through active measures of the labour market which have also financial dimension in providing the contributions (**see Annex**).

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

4.1 Conditions for receipt

On 1 January 2004 the Act No. 599/2003 Coll. on assistance in material need and on amending of some acts went into force, which in part superseded the existing Act on social assistance in the section on assistance in material need. On 1 January 2014 went into force new Act No. 417/2014 Coll. on assistance in material need and on amending of some acts which The Act on assistance in material need regulates legal relations in providing assistance in material need and the special allowance etc. The assistance in material need is benefit in material need, protection allowance, activation allowance, allowance for dependent child, housing allowance. The Act on material need defines material need as a state, in which the income of household members does not achieve the subsistence minimum, and household members are unable to secure or increase the income through their own endeavours. The household for the purposes of assessing material need are the following natural persons are jointly assessed:

- single person
- the husband and the wife,
- the husband, wife and dependent children living with them in the household,
- the parents and their dependent children living with them in the household,
- the parents and children aged up to 25 years, who have no income, or have an income not exceeding the amount of the minimum wage and living with them in the household, with the exception of the children, to whose are entitled to the payment of unemployment benefit or study in the doctoral program in full time
the parents and children over 25 years living with them in the household, whose are preparing for future occupation in daily form study, with the exception of the children, to whose are entitled to the payment of unemployment benefit or study in the doctoral program in full time

Member of household is not

- dependent child entrusted to by a court decision to the foster care or residential care,
- natural person, if serving custody or execution of custodial sentences,

4.2 Calculation of benefit amount

To determine the claim to assistance in material need the subsistence minimum amounts are relevant as they form the basis of the income test. For 2014, these amounts are:

MLS monthly (since 1.7.2014)	
First adult	198,09 €
Second adult	138,19 €
Child	90,42 €

The assistance of material need consist of benefit in material need, protection allowance, activation allowance, allowance for dependent child, housing allowance. The benefits in material need at six levels (since 1st January 2014) are:

- EUR 61,60 per month for an individual
- EUR 117,20 per month for an individual with child, or with maximum four children
- EUR 107,10 per month for a childless couple
- EUR 160,40 per month for a couple with child or with maximum four children

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- EUR 171,20 per month for an individual with more than four children
- EUR 216,10 per month for couples with more than four children

In addition to the benefit in material need the citizen may claim his or her right to the following allowances:

- Housing allowance
- Activation allowance
- Protective allowance
- Allowance for dependent child

Housing allowance

The housing allowance is belong, if some of member of household is the owner of an apartment, the owner of a family house, a tenant of an apartment, a tenant of a family house, or a tenant of a room in a facility designed for housing.

Housing allowance belong if the households lives in

- assisted living facilities, facilities for the elderly, home social services or specialized equipment if they provide social services adult person a year-round stay form at the shelter, half-way houses, emergency shelters or crisis center or
- an apartment or a family house on the basis of the right of use for life, demonstrating reimbursement for services related to housing is not required.

Housing allowance belong if household or member of household pays the cost relating to housing or substantiates the acknowledgement of the debt and an agreement on down payment, in the event he has payment arrears connected with the coverage of the housing cost, or pays the cost for social services in facilitates of social service or payment for care in facilitates of social-legal child protection and social guardianship The entitlements to housing allowance are reassessing after 6 consecutive calendar months or 12 consecutive calendar months if the expenses are paid annually.

The housing allowance belong in apartment, family house or facility designed for housing only once whatever the number of households living there.

The amount of the housing allowance is

- EUR 55,80 monthly, in the case of household with one member
 - EUR 89,20 monthly, in the case of household with more member
- Activation allowance

Activation allowance is provided to support the acquisition, maintenance or increase of knowledge, professional skills and work habits for a career in the assistance in material need. Activation allowance belong for each member of household

- a) who has earned income of not less than the minimum monthly wage,
- b) which is in the register of jobseekers and
 - upgrade their skills through part-time in high school) or a course organized part-time in college and earned master's degree,
 - participating in education and training for the labor market and projects under Law no. 5/2004 Coll. Employment Services
 - is adult and activation activities carried out in the form of small community services to the community or in the form of services for small autonomous region, organized by Act no. 5/2004 Coll. Employment Services

- is adult and carries less common services within at least 64 hours per month and more than 80 hours per month, based on a written agreement between the Local Office of Labour, Social Affairs and Family and the municipality or a governmental organization or contributory organization founded by a municipality,
 - is adult and do volunteer work, according to Law no. 406/2011 on volunteering in the range of at least 64 hours per month and more than 80 hours per month, based on a written agreement between the Office and organizer of volunteering, or
- c) who receipt of parental allowance, and who studies at a secondary school or university (this does not apply, where the citizen has acquired university education of the second degree).

The amount of activation allowance is 63,07 € monthly.

Activation allowance does not belong to member of household who:

- is registering as job seekers and provides his contribution to graduate practice or activation allowance in the form of voluntary service,
- or fulfills the conditions for entitlement to protection allowance.

Protective allowance

Protective allowance is intended to ensure personal expenditure of a household member who is not able to secure income or increase their income by working.

The amount of protective allowance for each member of the household is

- € 63.07 per month in the case of a household member who :reaching the age required for the right to old age pension,
- disability, where the capacity to engage in gainful employment has been reduced by more than 70%
- being a lone parent who personally, on a daily basis, and properly takes care of a child aged up to 31 weeks,
- personal, daily and proper care of a child, or a citizen who, subject to the assessment of the competent authority, is a child or a citizen with severe disability depending of care
- participation in resocialisation programmes.
- € 34.69 per month in the case of household member who unfavourable health state lasting continuously for more than 30 days, which is established by the relevant attending physician.
- € 13,50 per month in the case of household member who is a pregnant women from the start of the fourth month of pregnancy, where she has substantiated her pregnancy with the production of a pregnant woman's card and where she regularly visits a pregnant women's advice centre throughout her pregnancy
- parent of a child and personally and full-time care for a child under one year of age

Allowance for dependent child

The allowance for dependent child is designed to support education, training and overall development of the child in the household that have duly fulfills compulsory education.

The amount of allowance for dependent child is 17.20 € per month.

The allowance is provided from the beginning of the school year during the school day and school holidays.

The assistance in material need as well as the family benefits could be increased since September by the government decision.

Special allowance

The specific allowance belongs to natural persons, whose

- a) starts employment or similar working relationship, and it is understood income of not less than the minimum monthly wage and maximum of three times the minimum monthly wage
- b) which was prior to the occurrence of employment or before the occurrence of similar relationship long-term unemployed, and
- c) which is a household member who ceases to provide assistance in material need

The specific allowance belongs to natural persons not more than 6 consecutive calendar months in the amount of 63.07 € per month.

4.2.1 Calculation of gross benefit

The mechanism of the calculation of the amount of assistance in material need is based on determining the difference between the sum of entitlements to assistance of material need (benefit in material need, housing allowance, protective allowance, activation allowance and allowance for dependent child and the income. Section 4.2.2 refers to what is regarded as income for the purposes of the calculation of assistance in material need

The amount of assistance in material need is calculated as the difference between the total amounts of claims for assistance in material need housing allowance, protection allowance, activation allowance and allowance for dependent child and the income of a household in material need. The amount of assistance in material need is provided in one sum and if the result amount is less than one euro, assistance in material need is not paid.

4.2.1.1 Irregular additional payments

4.2.1.2 Obligations of family members

If members of household in material need, not exercise their legal rights, which can provide basic living conditions, to help your material need, are not considered household in material need. Legal claims, which can ensure the basic living conditions and help in material need, are: alimony, replacement maintenance, compensation income upon temporary incapacity, sickness insurance, pension insurance, accident insurance, guarantee insurance and unemployment insurance, demands of the employment relationship, security and retirement benefits, state social benefits (such as parental contribution), in addition to child benefit and to one-off state social benefits.

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

For the purposes of the calculation of the benefit in material need and the allowances to the benefit, as income is not regarded:

- 25 % of the personal income from dependent activity,
- 25 % of the old-age pension and early old-age pension awarded to a pensioner who has acquired at least 25 years of pension insurance; for every additional year of pension insurance this amount is increased by 1% of the awarded old-age pension and early old-age pension,

- 25 % of the maternity allowance, the invalidity pension, of the social pension awarded on the ground of disability (=invalidity), of the orphan's pension, of the widow's pension or widower's pension, where the widow or widower reached the retirement age,
- child allowance and supplement to child allowance or benefit of the same kind paid in the Member State of the European Union, in a state that is party to the Agreement on the European Economic Area or the Swiss Confederation, most of the child allowance provided on national level,
- childcare contribution
- a necessary urgent assistance, which is provided by the municipality, subject to a special regulation,
- subsidy to support humanitarian assistance and subsidy provided by other administrations, which is intended to address emergency crisis.
- the income of the secondary school pupil and the income of university student, studying full-time, where this income does not exceed 1.2-times the amount of subsistence minimum for a natural adult person,
- scholarship of pupils and students of secondary and tertiary schools,
- compensation of part of travel expenses and compensation of travel expenses of a jobseeker,
- allowance for compensation of travel expenses related to the activities identified in the individual action,
- reimbursement of expenses for board, accommodation and travel of a jobseeker, who is provided education or training for the labour market,
- allowance towards services for the family with children for a jobseeker, who takes care of a child of pre-school age (before commencing compulsory school attendance),
- contribution for the Graduate Practice,
- provision of benefit during education and preparation for the labour market and during preparation to improve the employment prospects of a disabled citizen,
- contribution for job familiarisation for a disadvantaged job seeker,
- 25% of contribution for activation activity in the form of voluntary service,
- support or contribution made by the foundations and civil associations, NGOs and non-investment funds, including non-monetary benefit to the individual purposefully designed to enhance the effects of assistance in material need up to a maximum of 12-times the subsistence minimum obtained in the current year
- employee tax credit and tax credit,
- one-off state social benefits,
- cash benefits for citizens with severe disabilities for compensation of social consequences of their severe disablement, with the exception of the care allowance,
- revenue for providing data for the statistics of family accounts, performed by the Statistical Office of the Slovak Republic
- reward for productive work of the pupil, which in practical training in accordance with the school education program performs productive work
- material provision for the pupil, which is used to cover the cost of his training provide income,
- the remuneration for the performance of the member and the Registrar electoral commission paid
- returned overpayment of income tax and excess to the advance income tax in the amount of not more than 50 euro
- returned overpaid premiums for health insurance in the amount of not more than 50 euro
- the amount of the increase in pension benefits for the period from January 1 to the day preceding the payment date payment of pension benefits in January,
- material provision of volunteer

- reimbursement of expenses for meals, lodging and travel expenses for job seekers to be granted to professional services
- measures of social-legal protection of children and social guardianship of financial character,
- alimony paid by the person liable for the amount of maintenance replacement by a household member who is obliged to return it
- special allowance

4.3 Tax treatment of benefit and interaction with other benefits

The assistance in material need is exempt from taxation. The interaction with other benefits has been partly covered under section 4.2.2.

4.4 Benefit duration and waiting periods

The assistance in material need is payable to the citizen on the basis of lawful decision and during the period in which the entitlement conditions last.

4.5 Treatment of particular group

The benefits are provided to all citizens who find themselves in material need.

Since September 15, 2004 the revision of the decree No. 3950/2004-II/1 dated September 7, 2004 of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on providing the subsidies has entered into efficiency. Under this decree it is allowed to provide the subsidy for food, the school utensils and scholarship for the children of the compulsory school attendance who live in the family which is provided with the material need benefit and the allowances to this benefit.

Subsidies are now provided under a decree of the Ministry of Labour, Social Affairs and Family of the Slovak Republic of 26 November 2008 No. 23609/2008-II/1, amending Ordinance of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on 5 December 2007 No. 29775/2007- II / 1 on the granting of subsidies by the Ministry of Labour, Social Affairs and Family of the Slovak Republic. This decree regulates the granting of subsidies to the wider group of children, including children from families whose income is at subsistence level. It also launched a subsidy for scholarship, which was transformed as a benefit to the Act on assistance in material need.

From 1 in January 2011 regulates the provision of subsidies Act. 544/2010.

In terms of the decree may be granted to children who fulfilled compulsory schooling and live in families which benefits are provided benefits in material need and allowances to the material need or their average monthly income for the last six consecutive months (the "income") is most of the subsistence minimum, subsidies for food and school supplies (utensils).

- Subsidies for food for the child may be provided to ensure food for a child in preschool facilities and primary school child in a special primary school (the school). For food, for the purposes of the food subsidy for the provision of lunch and other food. The food subsidy may be granted to the applicant:
 - for every child who attends pre-school or school in which at least 50% of children from families, providing benefits and allowances
 - the individual child who attends pre-school or school and live in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence minimum.

Subsidies for food may be granted

- most of 1 Euro per day diet, in which the child attended school or teaching in the educational process in pre-school facility, and it most: about 1 EUR for lunch, by 0.35 EUR to other food,

- Subsidy for school supplies for children can be provided to ensure school supplies for children in the preparatory class in pre-school facility and the child in school. For school supplies for the purposes of subsidies for school supplies regarded books, stationery, textbooks, required individual devices that are directly related to the learning process at school or nursery school children in a preparatory class for pre-school facilities. Subsidy for school supplies can be provided to the applicant:
 - for every child who attends a preparatory class pre-school or preparatory school and class in pre-school facility or school is at least 50% of children from families, providing benefits and allowances
 - the individual child who attends pre-school preparatory classes or school and lived in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence.

Subsidy for school supplies can be provided in two parts, most of Euro 33.20 per child for the financial year.

Subsidy for food and subsidy for supplies can be provided by the founder of kindergarten or the founder of the primary school or municipality or civic associations. There are not provided directly to parents of the child.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

From January 2004 the housing benefit was no longer provided as a separate benefit but within the assistance in material need, subject to the Act No. 599/2003 Coll. on assistance in material need (for more detail see section 4 on social assistance) . Housing allowance is still provided within the assistance in material need according new act no 417/201Coll. on assistance in material need which entered into force 1th January 2014.

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 Young persons

5.4.2 Older workers

5.4.3 Others if applicable

6. Family benefits

Within the meaning of the SR legislation, family benefits include: state social support benefits such as child allowance, parental allowance and other allowances of state social support.

6.1 Conditions for receipt

From 1 January 2004 the child allowance has been provided under the Act No. 600/2003 Coll. on child allowance and on amending of the Act No. 461/2003 on social insurance, which repealed the Act No. 281/2002 Coll. and the Act No. 658/2002 Coll.

The entitlement conditions for the receipt of child allowance include:

- a) care of a qualifying person after a dependent child,
- b) permanent or temporary residence of the qualifying person and the dependent child in the territory of the Slovak Republic (without prejudice to the rights within the meaning of (EEC) Regulation 1408/71)

The following qualifying persons could claim the child allowance:

- a) the parent of a dependent child, (in the case of child adoption, from the date of the lawful ruling thereof the adoptive parent is the parent)
- b) a person, who has been entrusted a dependent child in care, substituting parental care, on the basis of a lawful ruling of the competent authority,
- c) a dependent child of lawful age, where there is no parent of the dependent child,
- d) a dependent child of lawful age, where s/he has been provided maintenance obligation from the parents,
- e) a dependent child of lawful age, when they reach the age of majority was entrusted to substitute for parental care
- f) a dependent child of lawful age that concluded matrimony,
- g) a dependent child of lawful age, whose matrimony has terminated.
- h) a minor parent, who has the parental rights and obligations under the Family Act

The child allowance is provided at a flat rate, monthly, for every dependent child.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The child allowance is provided at a uniform amount monthly per 1 child. From January 1, 2014, the Government regulation set the amount of child allowance at EUR 23,52 per child and per month.

In January 2008 an extra allowance for dependent children whose parents are not eligible for the non-wastable child tax credit was introduced (This means that the parents receive pension or early retirement pension or disability pension because of decreasing ability to perform gainful activity by more than 70% of retirement pension or the age required to qualify for retirement). This benefit is paid only for this group of parents, not for all.

From January 1, 2014 the monthly amount of this allowance is EUR 11,02.

6.2.1.1 Irregular additional payments

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

The child allowance is exempt from personal income tax.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Compulsory school attendance starts, as a rule, at the beginning of the school year, following the date on which the child reached the age of six. A child who has not become school mature can have his or her school attendance put off by one year.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

In pre-school facilities which include kindergartens and special kindergartens (establish by local government authorities), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility, up to 7.5 % of the amount of the subsistence minimum for a dependent child. The amount of subsistence minimum is currently laid down under the Act No. 601/2003 Coll. on the subsistence minimum and on amending of some acts, as later amended, at EUR 90,42 for dependent child (July 1st 2013) and EUR 90,42 for dependent child (July 1st 2014). Based on this amount, the upper limit of the monthly fee paid by parents for a child currently must not exceed EUR 6.78 (for the year 2014).

In pre-school facilities which include kindergartens and special kindergartens (establish by municipality), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility. The rate of contribution for the stay of the child in kindergarten founder determined by a regulation, it is up to 15 % of the amount of the subsistence minimum for a dependent child, currently must not exceed EUR 13,6 (for the year 2014).

In addition to monthly fee per child, referred to above, the parent pays for the child's meals in the kindergarten. The amount for meals varies, depending on the actual way of taking meals by the child. Full-day board (morning and afternoon snacks, lunch) will amount to circa 21 € per child. It could be different for some maternity schools (children in age 2-6), it depends of costs for the purchase of food per meal.

The legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- the child is one year before the compulsory school attendance,
- if the legal representative of child is recipients of assistance in material need,
- child who is placed in the facility following a court decision

On the base of decision of kindergartens founder (local government authorities or municipality) the legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- child has interrupted attendance in kindergarten for more than 30 consecutive calendar days due to illness or family reasons, demonstrably,
- child did not attended the kindergarten at the time of school holidays or adjourned their kindergartens due to the founder or other serious reasons, in such cases the legal representative pay proportion of determining the allowance.

The actual amount of fee, in the stipulated range, is determined by the director of the pre-school facility/ kindergarten or special kindergarten/, with a possibility to have the fee differentiated, for example, according to the number of siblings in the kindergarten, the child's age, duration of stay in the pre-school facility, etc.

The above scales for the fee paid by the parent are laid down in the regulation on pre-school facilities.

The childcare fees paid by parents are not tax deductible.

Fees are not taken into account when determining entitlement to other benefits, including social assistance.

Part-time childcare

The same fee schedule applies to parents who only use childcare part-time, but the other payment may be different in the case of food and other expenses for care that are different and depend on the location where the kindergarten is located.

7.2 *Child-care benefits for formal centre-based care*

Parental allowance is provided under the Act No. 571/2009 Coll. as amended in the later regulations.

7.2.1 *Conditions for receipt*

Since January 1, 2011, the entitlement conditions of the qualifying person for receipt of the benefit

- proper care of the parent for at least one child
 - a) up to the age of 3 years or
 - b) up to the age of 6 years, in case of long-term or heavy handicapped child or
 - c) up to the age of 6 years, in case of child who was entrusted into substitute parental care, namely up to 3 years from a valid ruling
- permanent residence or temporary residence in the territory of the Slovak Republic
- Entitled person to receive the parental allowance is
 - child's parent
 - natural person whose child is placed under the care replacing parental care
 - husband / wife, parent, child, if the child lives with parents in the household
- The proper care is the care regarded after a child provided in the interest of the child's physical and mental development, by which the child is given in adequate nutrition, hygiene, and compliance with preventive inspections.

The parent's allowance is providing neither of parents if one of both is eligible for maternity benefit or benefit of sickness insurance or sickness security of the same kind in abroad or contribution to the childcare.

Child Care Allowance

Child care allowance is provided under the Act No. 561/2008 Coll. The state with this allowance contributes to parent or substitute parent on compensation of the child's care expenses. Provides to persons taking care of a child up to the age of 3 years and pursues economic activity, or studies or ensure the care of his/her child by official childcare service provider.

Conditions for receipt:

- entitled person is one of the parents,
- entitled person pursues gainful activity or studies
- permanent or temporary residence of the child and person concerned in the Slovak Republic,

- Childcare is provided by official provider.

Childcare is carried out

- in a family background of the child,
- in the environment intentionally created and modified to perform child care or
- in a family environment of natural persons providing child care.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Parental allowance

Since January 1, 2011 is only one amount of parental allowance. From January 1, 2014 the monthly amount of this allowance is 203,20 €.

For parents who have in the care over children who were born at the same time (twins, triplets, etc..) Introduces an increase in the amount of parental allowance by 25% (50,80 €) for each additional child.

If the school-age child is failure to perform compulsory schooling parental contribution amount is reduced by 50%(101,60 €)

If the beneficiary paid for the entire calendar month maternity benefits or comparable benefits as parents in a Member State for an amount less than the amount of parental allowance, EUR 203,20, parental allowance during the period of payment of parent or comparable benefits as parent in the Member State in the amount determined as the difference between the amount of parental allowance, EUR 203,20 and the amount of parent or similar benefits as a parent in a Member State. Child care allowance

Since 2011 amount of the child care per calendar month is

- in the amount of documented expenses authorized person, the most in the amount of 230 €,
- 41,10 € if child care provides a natural person (grandparent ...) and shall be paid a parental allowance or her parent who pursues a professional activity and does not provide child care otherwise.

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parental allowance is discharge of income tax of physical persons.

7.2.4 *Treatment of particular groups*

7.3 **Child care allowance for children not using child care centers (see above)**

If child care is provided by a natural person (grandparent etc.) the monthly amount of child care allowance is only 41,10 €, see above.

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8. Employment-conditional benefits

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

The system of social insurance does not provide a specific benefit designed for a lone parent. If the insured woman is a lone parent, the duration of receipt of maternity allowance (sickness insurance benefit) is extended, continuing beyond the lapse of the stipulated duration of entitlement to receive maternity allowance – 34 weeks; the right to maternity allowance in this case expires upon the completion of 37 weeks from the rise of the right to maternity allowance (in case of other insuree, who has taken the child in care, and is lone, the right to maternity allowance expires upon the completion of 31 weeks from the rise of the right to maternity allowance, but not longer than until completion of 3 years of the child's age).

The government provides support to the lone parent in case the absent parent does not pay the alimonies for more than three months in a row. To be eligible for this support, the lone parent has to be a citizen of the Slovak Republic and their average wage cannot exceed subsistence minimum 2,2 times.

9.1 Conditions for receipt

The legislative act which sets the income limit of 2.2 times the subsistence minimum for lone parents to be eligible for support provided by the government is effective from 2008. The actual amount which the lone parent may receive from the government is 1.2 times the subsistence minimum for a dependent child (subsistence minimum for dependent children was 2 460 SKK in 2008, 84,52 EUR in 2009, 84,61 EUR in 2010, 86,65 EUR in 2011, 88,82 EUR in 2012, 90,42 EUR in 2013, 90,42 EUR in 2014 it is re-evaluated annually), but each case is evaluated individually. If the parent does receive the government help, eligibility for the government help is re-evaluated every 6 months.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The support exists from January 1, 2005. The highest amount a lone parent could receive has always been 1.2 times the subsistence minimum for a dependent child. Subsistence minimum for a dependent child:

July 1, 2010 – June 30, 2011 it was 84,61 EUR,

July 1, 2011 – June 30, 2012 it was 86,65 EUR,

July 1, 2012 – June 30, 2013 it was 88,82 EUR,

July 1, 2013 – June 30, 2014 it was 90,42 EUR,

From July 1, 2014 it is still 90,42 EUR. (The subsistence minimum does not change.)

9.2.1.1 Irregular additional payments

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Basic relief: An allowance for all taxpayers is set at 19.2 times the minimum living standard (MLS) for a basic adult as of January 1, 2014 (EUR 3 803.33). In 2014, the basic personal allowance for taxpayers with gross earnings net of employee social security contributions in excess of the threshold of EUR 19 809 per year ($19\,809 = 100 \times \text{MLS}$, which is approximately equal to an employee's monthly gross wage of EUR 1 906) is gradually withdrawn. If gross earnings net of employee social security contributions exceed EUR 19 809, the personal allowance is calculated as 44.2 times the minimum living standard minus 0.25 times gross earnings net of employee social security contributions. The basic personal allowance reaches 0 if the gross earnings net of employee social security contributions amount to EUR 35 022.31 per year (employee's monthly gross wage of approximately EUR 3 370). The value of the basic tax allowance cannot become negative.

The degressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

Marital status relief: An additional allowance is given to the principal earner in respect of a spouse living in a common household if the spouse earns no more than EUR 3 803.33. As from January 1, 2007 the value of the spouse allowance depends on the gross earnings net of employee social security contributions of both principal and spouse. As of 2013, to be entitled to spouse allowance one of the following conditions should be met:

- spouse is taking care of (not necessarily personally) children up to 3 years (or up to 6 years if child is disabled) or
- spouse is unemployed or
- spouse is receiving nursing allowance or
- spouse is disabled.

If the principal's gross earnings net of employee social security contributions in 2013 are lower or equal to EUR 35 022.31 ($= 176.8 \times \text{MLS}$) and the spouse's gross earnings net of employee social security contributions are lower than EUR 3 803.33, the spouse allowance is calculated as the difference between 19.2 times MLS and the spouse's gross earnings net of employee social security contributions. If the gross earnings net of employee social security contributions of the spouse exceed EUR 3 803.33, the spouse allowance is 0. If the principal's gross earnings net of employee social security contributions exceed EUR 35 022.31 ($= 176.8 \times \text{MLS}$), the spouse allowance is calculated as 63.4 times MLS minus 0.25 times the principal's gross earnings net of employee social security contributions. This amount is reduced by the spouse's gross earnings net of employee social security contributions. The value of the spouse allowance cannot become negative.

The digressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

- Relief for social and health security contributions: Employee's social security contributions are deductible for income tax purposes.

10.1.1.2 Standard tax credits

Relief for children: The prior allowance for children has been replaced by a non-wastable tax credit as from January 2004. As from July 2007, the monthly tax credit is indexed as result of a new indexation rule. The tax credit is automatically indexed by MLS growth and is effective as from the 1st of July when also the new amount of MLS comes into force. Monthly tax credit in 2014 is EUR 21.41 per child for the whole year as MLS did not change during the year. The annual amount will be EUR 256.92. The tax credit for each dependent child is deducted from the tax liability; if the credit exceeds the tax liability, the excess will be paid to the taxpayer. In order to receive this credit, the parent must annually earn at least 6 times the minimum monthly wage, which for 2014 is set at EUR 352.0 (the total annual earnings must therefore be at least EUR 2 112.0). The credit can be taken only by one partner. It can be taken by one partner for part of the tax period (year) and by the other partner for the rest of the tax period (year); this choice will have to hold for all dependent children. (For the purposes of this Report, it is assumed that the credit is claimed by the principal wage earner).

- Non-wastable tax credit – the employee tax credit (ETC) is effective as from 1.1.2009 and is targeted at low-income workers whose wages are subject to the payment of social and health insurance contributions. The amount of tax credit depends upon the employee's earnings and the number of months worked.

In order to receive this tax credit, the employee must fulfil the entitlement criteria which are:

- the employee's earnings over the tax period must be at least 6 times higher than the minimum wage, which for 2013 is set at EUR 352 per month,
- the employee must have worked for at least 6 months over the tax period (the conditions of month worked is considered to be fulfilled when only one hour is worked during that month).

The ETC is a non-wastable tax credit as is the child tax credit. The value of the ETC depends on the level of the employee's earnings. If earnings are between at least 6 times of the minimum wage and 12 times of the minimum wage, the credit is calculated as 19 per cent of the difference between the basic allowance (EUR 3 803.33) and the tax base (gross earnings net of employee SSC), evaluated at the level of the minimum wage (EUR 3 658.08). If earnings exceed 12 times the minimum wage, then the ETC is calculated as 19 per cent of the difference of the basic allowance and the tax base (gross earnings net of employee SSC). The tax credit is zero when the tax base (gross earnings net of employee SSC) is equal to or higher than the basic allowance.

The highest value of the employee tax credit amounts to EUR 27.60 per year; this maximum value is received by employees with income between one half of the minimum wage and the full minimum wage, provided that the employee has worked for 12 months. As the employee tax credit is designed to benefit working individuals, its amount is adequately reduced for employees that have worked less months in the calendar year. Due to extensive paperwork it was decided that the tax credit will be paid within the framework of the annual clearing of the tax advances or when a tax return is filed.

10.1.2 *Income tax schedule (central government income tax)*

As from 2013 the previous flat tax rate of 19 per cent was replaced by new tax schedule with two tax brackets. The ceiling for the first bracket is set out as 176.8 times MLS (equal to EUR 35 022.31) what secure its automatic indexation. The tax schedule is as follows:

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Annual taxable income (EUR)*	Rate (%)
0–35 022.31	19
35 022.31 and over	25

* Employee's social security contributions (see 1.12.) are deductible for income tax purposes.

10.1.3 *State and local income taxes*

No separate state and local income tax exist.

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

Unemployment insurance is mandatory also for part-time employees. Act on Social Insurance defined monthly minimum assessment base for paying contributions for full-time employees and voluntary insured person. Monthly minimum assessment base was minimum wage. For employee who has appointed partial time in his/her labour contract according to the Labour code (§ 49) this monthly minimum assessment base was not applicable that means he has real monthly assessment base (could be lower than monthly minimum wage). Since 1st January 2010 Act on Social Insurance was renewed. The provision which established the minimum assessment base of employee as minimum wage was cancelled. The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is employee's real monthly wage. The minimum monthly assessment base of self-employed persons and voluntary insured persons changed from minimum wage to 50 % of average monthly wage two years ago since 1st January, 2012.

Compulsory contributions of 13.4 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows:

-- Health Insurance	4.0 per cent
-- Social Insurance	9.4 per cent
of which:	
-- Sickness	1.4 per cent
-- Retirement	4.0 per cent
-- Disability	3.0 per cent
-- Unemployment	1.0 per cent

There are maximum assessment bases MSSAB (maximum threshold for contributions to apply) that apply to social security contributions. From 2004 these MSSAB are no longer fixed values but depend upon the average wages (AW).

The latest amendment of the Social insurance Law, which is valid from 1st January 2011 adjusted formulae for calculation of MSSAB for retirement, disability and unemployment insurance. Since January 2012 maximum assessment bases for all types of insurance (except accident insurance) have been increased to five times the average wage in the national economy. Average monthly MSSAB for retirement, disability, unemployment, sickness and health insurance are calculated as: $5 \times AW(t-2)$. Where $AW(t-2)$ is

the average wage two years ago. The average wage (AW) is determined by the Statistical Office of the Slovak Republic– for 2012 it is EUR 805 per month.

The assessment base for a full-time employee is his real monthly wage (also if actual wage in particular month is lower than minimum wage (e.g.: due to sickness). Since January 1st 2010 were the exceptions in minimum assessment base (of disabled employees, etc.) cancelled.

10.3.2 Contributions payable by employers

The total contribution for employers is 35.2 per cent of gross wages and salaries. The contribution comprises the health insurance contribution (10 per cent of gross wages and salaries) and the social insurance contribution (25.2 per cent). The social insurance rate reflects contributions to sickness insurance (1.4 per cent), disability insurance (3 per cent), retirement insurance (14 per cent), the Guaranteed Fund (0.25 per cent), accident insurance (0.8 per cent), for unemployment (1 per cent) and to the Reserve Fund (4.75 per cent). All contributions are rounded down on two decimal places.

Since January 2005, Slovakia has introduced the privately managed fully funded pillar. This means that a given proportion (firstly 9 percentage points, from 1st September 2012 4 percentage points, but from 2017 it will be raised each year by 0.25% to a target level of 6%) of social contributions paid by the employer for retirement insurance flows directly to the private pension funds and not to the Social Insurance Agency as in previous years. Until 2017, there is a possibility of voluntary contributing to the second pillar with tax allowances up to 2 percent of the tax base. Private pension funds are treated outside of general government; these contributions are therefore not taken into account in the calculations of average and marginal tax rates. For the purposes of this Report, the total contribution rate for employers is then 31.2 per cent to the Social Insurance Agency including health insurance and 4 per cent to the private pension funds.

The MSSAB also applies to the employer's SSC. The next table presents the annual values of MSSAB:

	Formula for MSSAB	Value of MSSAB (2014)
- Health Insurance	5.0 x AW (t-2)	48 300
- Social Insurance		
of which:		
-- Sickness	(5.0 x AW (t-2))	48 300
-- Retirement	(5.0 x AW (t-2))	48 300
-- Disability	(5.0 x AW (t-2))	48 300
-- Unemployment	(5.0 x AW (t-2))	48 300
-- Accident		No limit
-- Guarantee fund	(5.0 x AW (t-2))	48 300
-- Reserve fund	(5.0 x AW (t-2))	48 300

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

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11. Part-time work

11.1 *Special benefit rules for part-time work*

They have same eligibility criteria for benefit, payment rate and benefit duration as applicable for full-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is since January 1st 2010 employee's real monthly wage.

12. Policy developments

The most important changes in the field of unemployment insurance have been effectual since January 1st, 2008.

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

12.2 Future policy changes announced since 1st July 2014

As from September 2012 pension sharing scheme has been changed. Employer's retirement contribution rate to the fully funded pillar has been reduced from 9 per cent to 4 per cent (for more see pension contribution sharing scheme table below). The effective employer's retirement contribution rate will therefore increase from 5 per cent in 2011 to 6.67 per cent in 2012 and to 10 per cent in 2013

SSC: Pension - contribution sharing in case of II. pillar participation			
Period	Percentage of gross earnings		
	I Pillar	II Pillar	Total
Previous system (up to September 2012)	9% (5% employer + 4% employee contribution)	9% (employer contribution)	18%
Current system (from September 2012)*	14% (10% employer + 4% employee contribution)	4% (employer contribution)	18%

* As from 2017 contribution rate to the II. pillar will automatically increase by 0.25 p.p. per year (i.e. contribution rate to the I. pillar will decrease in the same volume)

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

Annex

Employment services - active labour market measures

Since the first of March 2009 were taken these amending and supplementing the Act No. 5/2004 Coll. on employment services:

I. Act no. 49/2009 Coll. amending and supplementing Act No. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing Act no. 311/2001 Coll., the Labour Code – as of 1 March 2009

a) New active measures on the labour market

➤ Allowance to encourage employment sustainability

The allowance is granted to an employer who cannot assign work to employees due to serious operational reasons and provides them with a wage compensation of at least 60%. The allowance is dedicated for payment of statutory levies to insurance funds on healthcare and social insurance to be paid by the employer and employees who have it added to the paid wage compensation. The allowance may be provided for a maximum of 60 calendar day in total per year.

The aim of the measure is to prevent or eliminate dismissal of employees by an employer who has to deal with the consequences of the impact of the global financial and economic crisis.

➤ Allowance to encourage creation of vacancies

The allowance is granted to an employer who has been carrying out his or her business activity for at least 1 year and who creates a vacancy for a job seeker registered in the register of job seekers for at least 3 months and who retains the job for at least 12 months. A monthly allowance in the Region of Bratislava is 15% and in other regions 30% of the total cost of labour calculated on the basis of the average wage within the Slovak economy, however, a maximum of 50% of the total cost of labour of the hired employee. The allowance may be granted for a maximum of 12 calendar months.

The aim of the measure is to support creation of new vacancies, in particular for citizens who were dismissed from their original job by their original employer as being redundant as a result of the global financial and economic crisis.

➤ Allowance to employee wages

The allowance is provided to an employee who was registered in the register of job seekers for at least 3 months before being hired to a new job, who was granted a hardship benefit and extra allowances to the hardship benefit, and who found the new job on his or her own, and his or her wage is less than 1.7 multiple of the subsistence minimum (EUR 304.16). The allowance is provided on a monthly basis in the amount of 22% of the average wage of an employee in the Slovak economy during the first 12 months and in the amount of 11% during the remaining period, however, for 22 months at the longest.

The aim of this measure is to motivate unemployed people to search for jobs and accept low-paid jobs.

➤ Allowance to encourage self-employment

The allowance is granted to a job applicant who was registered in the register of job seekers for at least 3 months and who was granted a hardship benefit and who started business as a self-employed person. The allowance is provided to reimburse the advance payments of healthcare

insurance for a maximum of 22 months after having documented that the insurance premium had been paid. After elapsing of 18 months from the beginning of the self-employment, the allowance is provided also to reimburse social insurance, however, for a maximum of 4 months. The amount of the allowance is calculated from the minimal assessment base. Any simultaneous provision of other allowances to support self-employment activities is forbidden.

➤ **Allowance for self-employment in the field of processing of and trading in agricultural products**

The allowance is granted to a job seeker who was registered in the register of job seekers for at least 3 months and who requested to be taken out of the register due to carrying out business activities concerning processing of and trading in agricultural products. The allowance is provided to reimburse levies to insurance funds as in the case of the allowance to encourage self-employment.

The aim of these measures is to increase an interest of job seekers in self-employment possibilities in various areas of business, which are not demanding in terms of initial investments and respective skills, in particular for low-qualified groups of job seekers, and to support processors and traders of domestic agricultural products.

➤ **All new allowances are to be granted until the end of 2010 at the longest**

b) Further amendments

➤ **In respect of establishment of social ventures**

The amendment to the Act on employment services established more favourable legislative conditions for a temporary period for legal and natural entities applying for a status of a social venture (e.g. the use of 30% of the financial profit will no longer be required to be documented as used to create new vacancies).

Municipalities, associations of municipalities, self-governing regions and budgetary and subsidized organisations established by a municipality or a self-governing region and founding social ventures may now hire also job seekers other than disadvantaged ones within the obligatory 30% of employed disadvantaged job applicants, which sets out preconditions for incentives in particular for municipalities to establish social ventures.

Note: the temporary provision governing these changes in the field of social ventures was cancelled by a new temporary provision effective as of 1 April 2009.

➤ **In respect of investment aid**

For a temporary period, the amendment of the Act on employment services liberates the conditions for granting investment aid for creation of new vacancies by not applying the requirement of the average rate of registered unemployment rate.

➤ **In respect of labour mobility support**

The level of allowance for commuting to work is increased as follows

- up to 30 km – from EUR 36.52 to EUR 50,
- up to 60 km – from EUR 43.16 to EUR 80,
- up to 90 km – from EUR 53.12 to EUR 100,
- up to 120 km – from EUR 69.71 to EUR 110,
- up to 250 km – from EUR 82.99 to EUR 120,
- up to 600 km – from EUR 92.95 to EUR 130,
- over 600 km – from EUR 99.59 to EUR 135.

Increased amount of contributions for a transitional period from 1.3.2009 to 31.12.2010 with a preference for smaller distances were beyond the end of this period preserved to continue to promote inter-regional

labor mobility. (Decree of the Ministry of Labour no. 481/2010 Coll as the Ministry of Labour, Social Affairs and Family of the Slovak Republic. 44/2004 Coll, which implements § 69 paragraph. 2 of Law no. 5 / 2004 Coll on employment services and amending certain laws, as amended - from January 1, 2011).

II. Act no. 108/2009 Coll. amending and supplementing Act no. 461/2009 Coll. on social insurance as amended, and amending and supplementing certain acts – as of 1 April 2009

Act on employment services

The aim of the amendment was to establish a legal framework for enhancing self-employed businesses and making them more efficient, including self-employment activities within protected workshops or protected workplaces; furthermore, to reduce the administrative and financial difficulties related to granting of an allowance reimbursing operation costs of a protected workshop or a protected workplace and allowance reimbursing costs on transportation of employees. The objective was to react to the worsening economic situation resulting from increasingly more serious impacts of the global financial and economic crisis which affected also the field of self-employed activities.

➤ **Board for Employment Issues**

The scope of competencies of the Board for Employment Issues was enlarged by **establishing a committee to assess the efficiency and feasibility of a business plan** of applicants for an allowance to encourage self-employment and to check the results of acquired professional skills and practical training of these applicants with the aim to enhance the selection as well as performance of crafts or trades by self-employed persons.

The committee, similarly to the Board, is assumed to be based on a **tripartite principle**. Given the scope of activities, it is assumed that the representatives of sole traders' organisations (Slovak Craft Industry Federation, Slovak Chamber of Craft and Small Trade, and Slovak Association of Small Businesses) will be actively involved in the assessment process.

➤ **In respect of self-employment**

The process of evaluation of conditions fulfilment by an applicant for an allowance to encourage self-employment was extended by **an opinion of a committee** established at the Board for Employment Issues, in order to promote a longer performance or sustainability of crafts, trade and small businesses. This opinion becomes a basis for an Office of Labour, Social Affairs and Family to assess the possibility of concluding an agreement on granting the allowance. At the same time, based on the regional project the **Office of Labour, Social Affairs and Family will ensure a practical training** of the applicant - job seekers and disabled job seekers – on carrying out and operation of a craft or small trade, including a practical preparation of the business plan and strategy for preparation and development of small trade.

The **deadline for repeated granting of allowance** is prolonged for a job seeker **to three years after elapsing of a two-year period** of operating a small trade for which the allowance was granted, in order to strengthen the interest to sustain the opened small trade as well as to prevent abuse of the allowance.

➤ **Allowance reimbursing operation costs of a protected workshop or a protected workplace and reimbursing costs on transportation of employees**

The periodicity of granting of the allowance changed from quarterly to annually in order to reduce the administrative and financial difficulties related to submission of applications for the allowance and documenting fulfilment of the obligations by an allowance applicant. Applications for the allowance are submitted to an Office of Labour, Social Affairs and Family once a year by 30 April of the respective calendar year following the calendar year to be reimbursed.

➤ **In respect of social ventures**

The amendment to the Act on employment services stipulated a condition of concluding an employment relationship with an employee, for hiring of which the employer is granted an allowance to encourage creation and sustainability of jobs within a social venture, in the scope of at least one half of the determined weekly work time.

More favourable legislative conditions were established for a temporary period (by the end of 2010)

- a) for the purpose of granting a status of a social venture, when the conditions stipulated by the law do not have to be fulfilled with the exception of an entry of the social venture into the register of social ventures,
- b) for the purpose of assessment of at least 30% obligatory proportion of employed disadvantaged job seekers in the total employee number, selected entities (municipalities, self-governing regions, associations of municipalities, associations of self-governing regions and legal entities established or founded by a municipality or a self-governing region) now may include also job applicants who are not disadvantaged. An allowance will be provided for their employment.

III. The Act no. 266/2009 Coll. amending and supplementing Act no. 528/2008 Coll. on aid and support granted from European Communities Funds, and amending and supplementing Act no. 5/2004 Coll. on employment services and amending and supplementing certain acts, as amended – as of 7 July 2009

As a result of the global financial and economic crisis, protected workshops and protected workplaces found themselves in a situation without financial resources to cover their operation costs and without having access to loans. In order to sustain jobs for citizens with a handicap in protected workshops and protected workplaces despite financial problems, the adopted amendment **established conditions for a continuous provision of the allowance reimbursing operation costs of a protected workshop or a protected workplace and reimbursing costs on transportation of employees on a quarterly basis.** These costs concern wages and advance payments of healthcare insurance, social insurance and contributions to pension schemes, which are paid by an employer for employees with a handicap. In order to create equal conditions for the scope of reimbursed operation costs for employers who employ citizens with a handicap and citizens with a handicap performing a small trade, the amendment established conditions that would include costs on advance payments of healthcare insurance, social insurance and contribution to pension scheme paid by a self-employed citizen with a handicap into reimbursable costs of a citizen with a handicap carrying out a small trade.

IV. Law no. Z. 463/2009 amending and supplementing Law no. 5 / 2004 Coll z. Employment Services and on amendments to some laws as amended - 1 December 2009

- Creating favorable conditions for labor market entry selected groups of disadvantaged job seekers supplementing exemptions from conditions at least 3-month leadership of jobseekers registered as jobseekers for entitlement to the allowance under § 50e, and citizens who have become unemployed from because employment is terminated for organizational reasons and people younger than 25 years of age,
- Employers can contribute to the adoption of these groups of disadvantaged job seekers into employment already provided on the day following the date of the decision on its inclusion in the register of job seekers
- The tightening of conditions for granting the contribution pursuant to § 50e in order to prevent abuse by employers' contributions,
- Support job creation through self-employment of young people relaxing the conditions for entitlement to the allowance for self-employment for graduates according to § 8. 1 point. a) for a transitional period until the end of 2010.

V. Law no. 594/2009 Z. Laws amending and supplementing Law no. 48/2002 Z. z. Aliens and on amendment of certain laws as amended and amending certain acts - from 15 First 2010

- Enlarging the group of foreigners that do not require work permit, those who carry out work for companies that have been granted investment aid within the meaning of the law on investment aid and who are members of the statutory authority of the cooperative's registered office or a branch office in Slovakia

VI. Act no. 52/2010 Coll. amending and supplementing Act no. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing certain acts – as of 1 March 2010

- The amendment modifies the conditions under which a job seeker registered in the register of job seekers may carry out a gainful occupation, as one of the measures to prevent illegal work.
- It introduces a new allowance to encourage regional and local employment, aiming at supporting entry and re-entry of specific groups of disadvantaged job seekers to the labour market and supporting the growth of regional and local employment rate, with a limited efficiency until 31 December 2011.
- In respect of supporting improvement of the legislative framework preventing illegal work and illegal employment
 - the amendment extends the competencies of Offices of Labour, Social Affairs and Family to notify repeated breaches of the ban on illegal employment so that a small trade licence could be withdrawn by respective bodies,
 - it stipulates an obligation of the Central Office of Labour, Social Affairs and Family and the Offices of Labour, Social Affairs and Family to impose fines for a breach of statutory obligations resulting from the Act on employment services as well as for illegal employment and, at the same time, an obligation to determine a bottom limit and increase the ceiling of a fine for illegal employment.
- In the temporary period ending on 31 December 2010, it is possible to repeatedly carry out activation in the form of a lesser municipal services pursuant to Article 52, and thus support a smooth sustainability of work habits of long-term unemployed citizens who are granted hardship benefits and contributions to hardship benefits, in order to increase their readiness to return to the labour market.

VII. Act no. 136/2010 Coll. on services in the internal market, amending and supplementing certain acts – as of 1 June 2010

An amendment to the Act on employment services aiming at establishment of a legal framework for implementation of Directive of the European Parliament and Council 2006/123/EC of 12 December 2006 on services in the internal market (OJ EU, L 376, 27 December 2006, p. 36-68) in the field of non-governmental providers of employment services.

A legal or natural entity may carry out paid employment mediation on the basis of a licence issued pursuant to the Small Trade Act. Cancellation or suspension of paid employment mediation is also governed by the Small Trade Act. Subsequently, the Central Office of Labour, Social Affairs and Family is no longer obliged to issue, modify, postpone or issue a copy of a licence to a natural or legal entity on paid employment mediation activity.

Other conditions and requirements of a natural or legal entity in respect of paid employment mediation remain governed by the Act on employment services.

VIII. Act no. 373/2010 Coll. amending and supplementing Act no. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing certain acts – as of 1 January 2011, except for Article 50j (as of 23 September 2010)

- The amendment prolongs the effective period of one of the main temporary measures to mitigate the impacts of the global economic crisis on employment - the allowance to encourage employment sustainability (Article 50d) with a progressive mechanism of a reduced levies for employers by the end of 2011.
- It supports municipalities or self-governing regions, legal entities established or founded by municipalities or self-governing regions, legal entities administering water flows and legal entities established by the state and administering drainage systems, in order to enable them to create temporary jobs to prevent and remove the consequences of extraordinary events by hiring job seekers, by introducing a new allowance to encourage employment related to measures of flood protection and to deal with the consequences of an extraordinary event (Article 50j). The allowance is to be provided as reimbursement of partial wage costs on employees hired to do work related to measures of flood protection and dealing with the consequences of an extraordinary event, and in case of municipalities also to reimburse partial costs on work tools necessary for prevention or removal of consequences of an extraordinary situation.
- It cancels the provision of an allowance to encourage employment of graduates of trainings for the labour market (Article 51a) due to a low rate of use.
- It specifies the end of the period when a disadvantaged job seeker is being integrated into the job, in order to prevent cases of abuse of this period to postpone a regular employment of such disadvantaged job seeker.
- It determines a minimal duration of a graduate practice as at least 3 months.
- It specifies the condition for granting of an allowance to establish a protected workshop or a protected workplace by an employer, so as to stipulate clearly that the allowance to establish a protected workshop or a protected workplace is granted only in respect of a job seeker registered in the register of job seekers.
- It determines a maximum level of the allowance to sustain employment of a handicapped citizen, and specifies the work time for this purpose.
- It modifies all mechanisms related to approval and implementation of projects and schemes of active measures on the labour market in order to render the use of public financial means or state co-financing of ESF projects more effective.
- It specifies the competencies of the Central Office of Labour, Social Affairs and Family and Office of Labour, Social Affairs and Family as regards projects implementation.
- It harmonises provisions concerning placing orders or buying products as a replacement for the obligatory proportion of employing handicapped citizens, following the provisions of Act no. 25/2006 Coll. on public procurement and in accordance with the conclusions of an inspection carried out by the Supreme Audit Office of the Slovak Republic regarding inspection of schemes or tools focusing on increasing employment of handicapped persons in the public sector.

IX. Law no. 120/2011 Coll, amending and supplementing Law no. 5 / 2004 Coll z. Employment Services and on amendments to some laws as amended and amending and supplementing certain laws - 1 July 2011

The amendment:

- modify the conditions of the organization of the activation form of minor communal services for the municipality pursuant to § 52 the extension of the provision of small grants for services for self-governing region of organized self-governing regions, budgetary or contributory organization whose founder or founders of the autonomous region,

- expand the implementation of minor municipal services or smaller autonomous region (eg, emergency aid and alleviation of their consequences)
- extend the period for repetitive minor municipal services or community services in the form of smaller autonomous region of six to twelve calendar months,
- changed the local jurisdiction Labour Office, Social Affairs and Family for the contribution, the contribution provided by the Authority, in the district has long-term unemployed residence
- increased age job seekers from 25 years to 26 years in providing input to the implementation of graduate practice under § 51st

X. Law no. 223/2011 Coll. amending and supplementing Law no. 82/2005 Coll. on illegal work and illegal employment and on amendments to some laws as amended and amending and supplementing certain laws - from 20 July 2011

The above amendment to the Employment Services:

- transposing Council Directive 2009/50/EC of 25 May 2009 on the conditions of entry and residence of third-country nationals for the purposes of highly qualified employment,
- for the purposes of the Employment Services Act in accordance with Directive 2009/50/EC define the concept of a third country,
- adding a new competence of the Centre Office for Labour, Social Affairs and Family and to give proof of the possibility of filling a vacancy, which corresponds to highly qualified employment, third country nationals,
- clarify the competence of the Centre Office for Labour, Social Affairs and Family of the case before the offense and the decision to impose the additional payment under the Act no. 82/2005 Z. of.,
- modify the obligation of the Centre Office Labour, Social Affairs and Family of the records management work on the implementation of EU citizens and third-country nationals to the territory of the Slovak Republic,
- adding a competence of the Centre Office for Labour, Social Affairs and Family, and decide to impose additional payments under the Act no. 82/2005 Coll.,
- modify duties of the Local Offices of Labour, Social Affairs and Family to provide the Centre Office of Labour, Social Affairs and Family the information for the purpose of issuing the confirmation of the possibility of a post corresponding to highly qualified employment by a third, to fulfill obligations under the Act. 82/2005 Coll. in keeping the records of the implementation of employment of EU citizens and third-country nationals to the territory of the Slovak Republic,
- clarify the competence of the Local Offices for Labour, Social Affairs and Family of the case before the offenses,
- adjust the same legal status as a citizen of the Slovak Republic for the purposes of the Employment Services Act is a third-country national who has been awarded the European Union Blue Card,
- modify the conditions for issuance of the certificate of the possibility of being recruited, which corresponds to highly qualified employment, third country nationals,
- expand the grounds for termination of employment permits, these are the cases where a third country national with valid work permit request for a Blue Card European Union (in the case of an EU Blue Card expires validity of a work permit),
- modify the obligations of the employer in the employment of EU citizens and third country nationals,
- adjust the incentives for the suspension or revocation of the Agency temporary employment agency or supported employment may file the labor inspectorate,
- edited by one of the employers for the purpose of providing post employment support to implement measures to protect against flooding and the consequences of emergency under § 50j, and a legal person who is the administrator of drainage systems,
- extended the possibility of obtaining information from Information system of Central Office of Labour, Social Affairs and Family and Local Office of Labour, Social Affairs and Family to the

Ministry of Interior of the Slovak Republic, the Police Force and the Labour Inspectorate, which are needed to perform tasks in their scope. For example the information published, deaths, canceled or extended work permits of third country nationals and information on the commencement of employment and termination of employment of a third country,

- specify the grounds on which the account of the imposition of fines by the Central Office of Labour, Social and Family Affairs and the Local Office of Labour, Social Affairs and Family
- the scale and the conditions for the granting of aid under the Employment Services Act, which provides for aid under the Treaty on the Functioning of the EU.

XI. Law no. 231/2011 Coll. Amending and supplementing Law no. 561/2007 Coll. Investment Aid and on amendments to some laws as amended by Act no. 56/2009 Coll. amending and supplementing certain laws - 1 August 2011

Treatment conditions for the granting of aid for the creation of new jobs according to § 53d consequently the division of districts by the amount of the unemployment rate for investment aid.

XII. Law no. 257/2011 Coll. Amending and supplementing Law no. 311/2001 Coll. Labour Code, as amended, and amending and supplementing certain laws - 1 September 2011

The above amendment to the Employment Services:

- completed the transposition of the Directive of the European Parliament and of the Council 2008/104/EC of 19 November 2008 on temporary agency work, temporary agency under which the employee works under the supervision and guidance of the user employer, which is temporarily assigned to perform work. It also amended the terminology within the meaning of Directive
- instituted a ban on temporary employment agency fee of temporary agency workers for assignment or for signing an employment contract with the user employer after this allocation
- provide for the Central Office of Labour, Social Affairs and Family to keep a register of temporary work agencies,
- extended the obligation of temporary employment agencies provide access to a temporary agency employee to training or to gain professional skills in between his assignments and allowed access to temporary agency workers for childcare,
- set a deadline by which a temporary employment agency required the Centre Office of Labour, Social Affairs and Family, submit an annual report on its activities.

XIII. Law no. 468/2011 Coll. from. supplementing Law no. 235/1998 Coll. the contribution of childbirth, the contribution of parents who were born at the same time three or more children or who in the course of two years repeatedly twins and amending other laws, as amended, and amending and supplementing certain laws - 1 . January 2012

Adjust the length of the contribution to employment support for the implementation of measures to protect against flooding and the consequences of emergency under § 50j, depending on the time during which the job creation perform the agreed work, finish time of the contribution to the max. 6 calendar months for municipalities, respectively their legal persons, which will create jobs in the region with an average registered unemployment rate was higher than 25%.

XIV. Law no. 324/2012 Coll., Amending and supplementing Law no. 184/2009 Coll. on vocational education and training and on amendments to certain laws and amending and supplementing certain laws – 1. January 2013

The amendment to the Law on Vocational Education and Training, which amended the Employment Services Act, to establish a legislative framework for the operational flow of current labour market information between education and employers in regional and national dimension, which will

improve awareness of schools on the development of the labour market. For this purpose requirements have been introduced Local Office of Labour, Social Affairs and Family publish on its website place of analysis and forecasts on the development of the labour market within its territorial jurisdiction and the same obligation was also introduced for Centre Office of Labour, Social Affairs and Family.

XV. Law no. 96/2013 Coll., Amending and supplementing Law no. 5/2004 Coll. on employment services and on amending and supplementing certain acts, as amended, and amending and supplementing certain laws – 1. May 2013

Essential elements of reform amendment to the Employment Services Act are:

- simplification of the system of active labour market measures (ALMM) ,
- reduce the number and increase transparency ALMM made based on evaluation of their real use , effectiveness and impact on employment ,
- reduce the administrative burden involved in the implementation of active labour market policy ,
- the consideration of the situation on the regional labour markets,
- replacement compulsoriness providing contribution with facultative (8 ALMM),
- strengthen co-decision on the granting of participation of social partners through the Tripartite Committee for Employment ,
- ensuring transparency of ALMM their publication in the Official site offices ,
- increase the targeting of particular target group of disadvantaged job seekers - supported the proposal creates jobs for the most vulnerable groups in the labour market , which are mainly long-term unemployed , young people, older than 50 years of age and job seekers with little or no education ,
- increased emphasis on education and counselling , greater flexibility in education
- accumulation of related contributions (§ 50 , § § 50a and 50c) to Post employment of disadvantaged jobseekers ,
- the abolition of some posts for their low utilization rate (11 ALMM)
- better support job creation in communities and regions - restoring contributions to support the development of local and regional employment (§ 50j)
- promoting job retention during the period in which the employer in respect of serious operational reasons cannot assign work to employees - to introduce a contribution to support job retention (§ 50k) .

Change the facultative compulsoriness was introduced in the provision of the following contributions:

- Contribution for self-employment (§ 49)
- Contribution for employing disadvantaged job seekers (§ 50)
- Contribution to support the implementation of employment measures for flood protection and the consequences of an emergency (§ 50j)
- Contribution to graduate practice (§ 51)
- Allowance for activation form of voluntary service (§ 52a)
- Contribution to the establishment of a sheltered workshop or sheltered workplace (§ 56)
- Contribution to keep citizens with disabilities in employment (§ 56a)
- The contribution of persons with disabilities to operate or self-employment (§ 57)

The amendment on Employment Services Act was also repealed the 11 ALMM :

- Providing benefits for education and training for the labour market and in preparation for employment of a disabled person (§ 48b)
- The amount of benefit (§ 48c)
- Contribution for training of disadvantaged job seekers (§ 49a)

- Contribution to support retention in employment of low-wage workers (§ 50a)
- Contribution to support the creation and retention of jobs in social enterprise (§ 50c)
- Contribution to support regional and local employment (§ 50i)
- Promoting the integration of disadvantaged job seekers in the labour market (§ 53c)
- Preparation for employment of a disabled person (§ 55a)
- Eligible costs for training and preparation for work (§ 55b)
- Eligible costs associated with the preparation and training of the work (§ 55c)
- Contribution to the renewal or technical evaluation of tangible assets protected workshop or protected workplace (§ 57a).

XVI. Law no. 308/2013 Coll. Amending and supplementing Law no. 125/2006 Coll. on labour inspection and on amendment of Act no. 82/2005 Coll. on illegal work and illegal employment and amending certain acts as amended, and amending and supplementing certain laws - 1 November 2013

An amendment of Act of Employment Services for the purpose of efficient power control of compliance with the Employment Services Act and control of illegal work and illegal employment adjusted demonstration of workers Centre Office of Labour, Social Affairs and Family and Local Offices of Labour, Social Affairs and Family of performing control operation of the controller card, the modified model card controller established the competence of the Centre Office of Labour, Social Affairs and Family and Local Offices of Labour, Social Affairs and Family of the controller to issue the license. Increase the lower limit of fines for non-compliance with the prohibition of illegal employment of two or more persons at least 5,000 Euros to improve compliance with the terms and conditions of employment in accordance with labour legislation.

XVII. Law no. 352/2013 Coll. Amending and supplementing Law no. 431/2002 Coll. on Accounting, as amended, and amending and supplementing certain laws, which entered into force on 15 November 2013, except Article. I and Art. XVI, Art. XVII second to sixth paragraph and Art. To Article XVIII. XLIV, which entered into force on 1 January 2014

The amendment to the Employment Services Act with effect from 15 November 2013 introduced a new active labor market measures § 53e "Financial assistance to support the maintenance of employment in small enterprises and medium sized enterprises", which aims at the time of the fall in demand to assist viable small and medium encourage businesses to maintain employment. Instrument for achieving this objective is the financial assistance for small and medium-sized businesses through the provision of a guarantee for a loan or payment of interest on loans in order to maintain employment. A provider of such financial support is Ministry of Finance of the Slovak Republic. Financial assistance is provided through the selected bank or branch of a foreign bank under a contract concluded between Ministry of Finance of the Slovak Republic and selected bank or branch of a foreign bank. The amendment to the Employment Services Act at the same time, with effect from 1 January 2014 abolished the obligation of submission of financial statements of applications under § 29 and § 31 of the Employment Services Act, as these data can Centre Office of Labour, Social Affairs and Family verified directly in the registry accounts It will also ensure the reduction of administrative burden and are not required documents which can be obtained from other public authorities.

XVIII. Law no. 436/2013 Coll. Amending and supplementing Law no. 523/2004 Coll. on public administration budgetary rules and amending and supplementing certain laws as amending some laws – 1 January 2014

The amendment to the Employment Services Act to ensure that the Ministry of Finance of the Slovak Republic was gaining annually to a Central Office of Labour, Social Affairs and Family statistics of job seekers with the aim of further improving the analysis of tax and spending policies, which are the basis for government action to ensure economic growth and standard of living of the population.

ANNEX

Unemployment assistance

The active policy of the labour market in terms of Act No. 5/2004 Coll. on employment service is being realized through the following active labour market measures of the which have also financial dimension in providing the contributions (the law currently in force):

ARTICLE 32

Recruitment services

(1) Recruitment services for the purposes of this Act, are activities in the following areas:

- a) finding jobs and offering suitable employment for a jobseeker, person interested in employment or a citizen in the territory of the Slovak Republic and EU Member States,
- b) finding and offering suitable employees to an employer.

(2) Recruitment services also include

- a) record keeping,
- b) information and advice services,
- c) making lists of job vacancies and positions sought by jobseekers and persons interested in employment,
- d) publishing lists of job vacancies and positions sought by jobseekers and persons interested in employment, including publication on the internet, in the press and other mass media,
- e) providing for the monitoring and evaluation of employers' demand for employees by qualification structure and occupational structure,
- f) evaluation of the qualification and occupational structure of jobseekers and the qualification and occupational structure of persons interested in employment with reference to the demand of employers,
- g) monitoring of the period for which people remain in employment for at least six months from their entry into employment from the register of jobseekers based on an active labour market policy instrument.

(3) Recruitment services shall be provided by

- a) the Central Office,
- b) an office and a workplace established by an office and
- c) a legal entity or natural person who provides recruitment services for reimbursement, or recruitment to supported employment, or another legal entity or natural person who provides recruitment services subject to the conditions laid down in a written agreement with an office.

(4) The Central Office and offices shall provide recruitment services free of charge.

(5) An office shall use job agents to provide recruitment services; these agents may be employees of the office or the office may provide for their selection in accordance with applicable legislation^{18aa}) Job

agents identify employers' requirements for employees, as a rule according to the sectoral structure of jobs, determine working conditions with employers and monitor the situation in the labour market. A natural person can carry out the activity of a job agent if he/she has completed at least the first level of higher education.

(6) A citizen shall apply for recruitment services at the office in whose territory he/she has permanent residence. A citizen who is seeking employment can request information on job opportunities at any office.

(7) The competent office for a citizen who has no permanent residence or temporary residence and is in a school establishment or a social services establishment shall be the office in whose territory the registered office of the school establishment or social services establishment is situated. A citizen shall prove residence in a school establishment or social services establishment by confirmation issued for the purpose by the school establishment or the social services establishment.

(8) The competent office for a citizen of an EU Member State, his/her family members is the office in whose territory they have their place of residence.

(9) The competent office for a third-country national who has been granted asylum, whose was provided subsidiary protection or who has been granted temporary shelter is the office in whose territory the third-country national has his/her place of residence.

(10) An office shall provide recruitment services impartially; in doing so, it shall respect a citizen's choice from offered jobs and the voluntary selection of jobseekers by employers. The result of employment mediation is the creation of an employment relationship or a similar work relationship.

(11) There shall be no legal entitlement to placement in a specific job.

(12) For the purposes of recruitment services an office

- a) shall maintain a register of jobseekers, a register of persons interested in employment and a register of job vacancies,
- b) make available information and advice services,
- c) make available specialised advice services,
- d) provide a jobseeker with reimbursement of a part of travel expenditure incurred for attending job interviews or selection procedures with employers or for participating in group recruitment activities organised by the Central office of an office in the territory of the Slovak Republic for an employer or for an employer from an EU Member State, if the travel costs are higher than the threshold set by generally applicable legislation issued by the Ministry.

(13) Travel expenditure under paragraph 12(d) shall be expenditure for travel by public transport from the place of permanent residence or the place of temporary residence, and if public transport does not operate from the place of permanent residence or the place of temporary residence from a place where public transport is accessible, to the location for the job interview, selection procedure or group recruitment activity organised by the Central Office or an office in the territory of the Slovak Republic for an employer or an employer from an EU Member State, and for any return journey.

(14) Reimbursement of a part of travel expenditure under paragraph 12(d) shall be paid based on a written application of a jobseeker to which is attached proof of attendance at a job interview, selection procedure or participation in a group recruitment activity organised by the Central Office or an office in the territory of the Slovak Republic for an employer or for an employer from an EU Member State. A jobseeker shall submit an application for reimbursement of a part of travel expenditure no later than ten

working days after the end of the calendar month in which he/she became entitled to reimbursement of a part of his/her travel expenditures.

(15) Reimbursement of a part of travel expenditure under paragraph 12(d) shall be provided by the office or paid by a legal entity or natural person as defined in section 2(1)(m) based on a written agreement concluded with an office or the Central Office.

ARTICLE 43

Specialised advice services

(1) An office of labour, social affairs and family may arrange professional advice services for a jobseeker or a person interested in employment.

(2) Specialised advice services pursuant to this Act focus on influencing the decision-making and behaviour of a jobseeker, bringing the jobseeker's personal profile into line with the requirements for work in specific employment and the social and work adaptation of the jobseeker

- a) through the development of personal qualities and abilities in the jobseeker and assessment of his/her competences
- b) through elaboration of an individual action plan under paragraph 6 to improve the employment prospects of a disadvantaged jobseeker,
- c) through diagnostics and recognition of obstacles to access to the labour market,
- d) through elaboration of a personal profile of the jobseeker to identify activities, measures and services necessary for his/her integration in the labour market.

(3) Specialised advice services shall be provided by an adviser who has completed the second stage of higher education.

(4) Specialised advice services can be provided on an individual or group basis

(5) An office may cooperate with a disadvantaged jobseeker to elaborate an individual action plan to improve his/her employment prospects (hereinafter an "individual action plan"). Elaboration of the individual action plan shall be based on an offer made by the office or a written request submitted by the disadvantaged jobseeker.

(6) The individual action plan is a written document which defines, based on activities and procedures under paragraph 2(a), (c) and (d), measures to improve the jobseeker's prospects in the labour market and a procedure and schedule for implementing each measure. The individual action plan is drafted, evaluated and updated by a professional adviser in cooperation with the disadvantaged jobseeker. After the individual action plan is completed and agreed by both sides it becomes binding for the disadvantaged jobseeker and for the office.

(7) An office may provide specialised advice services itself or arrange for them to be provided by a natural person or a legal entity that has a licence for such activities⁹⁾ (hereinafter a "provider of specialised advice services"). Specialised advice services can be provided only by a natural person who has completed the second level of higher education or a legal entity where this condition is fulfilled by the responsible representative under applicable legislation.⁹⁾

(8) The office shall provide a jobseeker with remuneration of travel expenditure for transport from his/her place of permanent residence⁴³⁾ or place of temporary residence⁴⁴⁾ to and from the place where specialised advice services are provided, and expenditure for board and lodging in accordance with

applicable legislation.²¹⁾ Reimbursement of expenditure under the first sentence can also be paid to the jobseeker by a provider of specialised advice services if it is part of an agreement under paragraph 10.

(9) The office shall pay a contribution for services for a family with children to a jobseeker who takes part in activities connected with specialised advice services and who is a parent caring for a child who has not yet begun compulsory school attendance or a person under applicable legislation,⁴⁵⁾ who cares for a child who has not yet begun compulsory school attendance, if he/she applies for the contribution in writing. If parents who are a married couple or persons under applicable legislation⁴⁵⁾ apply for the contribution for services for a family with children, the contribution shall be paid to only one of the parents or one of the eligible persons.

(10) An office shall conclude a written agreement on the provision of specialised advice services with a provider of specialised advice services. An agreement on the provision of specialised advice services shall include in particular

- a) the orientation of the specialised advice services provided by a provider of specialised advice services,
- b) the number of jobseekers for whom the provider shall provide specialised advice services,
- c) the start date for the provision of specialised advice services,
- d) the location for the provision of specialised advice services,
- e) the price of specialised advice services,
- f) the method and period for reimbursement of eligible costs for specialised advice services and
- g) the undertaking of the provider of specialised advice services to report any change in the number of jobseekers receiving the provider's specialised advice services.

(11) A jobseeker may interrupt specialised advice services or withdraw from an agreement for serious health reasons, serious family reasons or serious personal reasons that arise during specialised advice services; the seriousness of the reasons shall be assessed by the office.

(12) The selection of a provider of specialised advice services shall be regulated by applicable legislation.^{18aa)}

ARTICLE 46

Education and training for the labour market provided to a jobseeker

(1) An office can arrange education and training for the labour market for a jobseeker if this is required to improve his/her prospects in the labour market based on an evaluation of his/her abilities, work experience, vocational skills, level of education completed and health capacity for work, particularly in the event of

- a) a deficiency of vocational knowledge and skills,
- b) the need to change knowledge and vocational skills in response to demand in the labour market and loss of the ability to work in previous employment.

(2) Evaluation of a jobseeker under paragraph 1 including the determination of education and training for the labour market under article 44(7) is part of specialised advice services or part of an individual action plan, if such is prepared.

(3) The Central Office or an office may arrange education and training for the labour market in national or pilot projects of education and training for the labour market approved by the Ministry. The Central Office or an office shall provide for the elaboration of education and training projects for the labour market provided to jobseekers for the purposes of supplementing, deepening or broadening their vocational knowledge, skills and abilities in order to meet the needs of work in jobs for which there is demand in the labour market. Education and training for the labour market may also include activities

connected with provision of recruitment services, information and advice services and specialised advice services by a provider of education and training services for the labour market. Education and training for the labour market provided to a jobseeker can be provided by a legal entity or natural person as defined in section 2(1)(m) based on a written agreement concluded with the Central Office or an office.

(4) An office may pay a jobseeker for whom it arranges education and training for the labour market a contribution for education and training for the labour market equal to 100% of the cost of education and training for the labour market plus costs connected with education and training for the labour market under a written agreement concluded between

- a) the office and the jobseeker,
- b) the office and the provider of education and training services for the labour market or
- c) the office and a legal entity or natural person as defined in section 2(1)(m).

(5) The office will pay a jobseeker for whom it arranges education and training for the labour market remuneration of travel expenditure for transport from his/her place of permanent residence⁴³⁾ or place of temporary residence⁴⁴⁾ to and from the place where education and training is provided, and expenditure for board and lodging in accordance with applicable legislation.²¹⁾ Reimbursement of expenditure under the first sentence can also be paid to a jobseeker by the provider of education and training services for the labour market if this is included in the agreement defined in paragraph 12 or by a legal entity or natural person as defined in section 2(1)(m) if this is included in an agreement as defined in paragraph 13.

(6) Reimbursement of expenditures under paragraph 5 and the contribution under paragraph 10 shall be paid to a jobseeker based on a written agreement under paragraph 12.

(7) If a citizen was a jobseeker and, as a result of completion of education and training for the labour market obtained at the citizens own initiative under an agreement pursuant to paragraph 12, he/she has been removed from the register of jobseekers because he/she has begun employment or become self-employed without a contribution under section 49 or section 57, the office may pay him/her a contribution for education and training for the labour market equal to 100% of eligible costs under article 48, up to a limit of EUR 600. The contribution for education and training for the labour market shall be paid based on a written application which shall include

- a) an employment contract concluded for at least six months or documentation of eligibility for self-employment commencing after completion of education and training for the labour market,
- b) documentation of participation in education and training for the labour market connected with the performance of work in the area in which he/she is employed or self-employed,
- c) proof of payment of the cost of education and training for the labour market.

(8) A citizen may apply for a contribution under paragraph 7 no earlier than 30 calendar days and no more than 90 calendar days after the end of education and training for the labour market.

(9) An office shall not pay a contribution under paragraph 7 if

- a) it is able to provide for education and training for the labour market as defined in paragraph 1,
- b) it has provided education and training for the labour market to the jobseeker within the 12 months before the start of the education and training for the labour market that the jobseeker arranged on his/her own initiative,
- c) a contribution under paragraph 7 was paid to the citizen in the three years before submission of the application.

(10) The office shall pay a contribution for services for a family with children to a jobseeker who takes part in education and training for the labour market and who is a parent caring for a child who has not yet begun compulsory school attendance or a person under applicable legislation,⁴⁵⁾ who cares for a child who has not yet begun compulsory school attendance, if he/she applies for the contribution in writing. The

contribution defined in the first sentence can also be paid to a jobseeker by a legal entity or natural person under paragraph 2(1)(m). If parents who are a married couple or persons under applicable legislation⁴⁵) apply for a contribution for services for a family with children, the contribution shall be paid to only one of the parents or one of the eligible persons.

(11) The contribution for services for a family with children under paragraph 10 shall cover a part of the documented expenditure for a child's stay in a pre-school establishment or a part of documented expenditure for childcare provided by a natural person who is authorised to provide such services.⁹⁾

(12) An agreement on education and training for the labour market concluded between an office and a jobseeker or a legal entity or natural person as defined in section 2(1)(m) and jobseeker shall include

- a) the identification data of the parties to the agreement,
- b) the occupational orientation of the education and training for the labour market and the method for its acquisition,
- c) the location of education and training for the labour market.
- d) the name of the educational activity, the duration of education and training for the labour market including its start and end dates, the hourly schedule of the educational activity,
- e) the method, scope and conditions for payment of a contribution for education and training for the labour market by the office,
- b) the rights and obligations of participants in education and training services for the labour market,
- g) details of the reimbursement of travel expenditures for transport from the place of permanent residence or the place of temporary residence to and from the place of provision of education and training for the labour market, expenditure for board and lodging and details on the provision of a contribution for services for a family with children to the jobseeker, the method and period for its provision, if provided by the office,
- h) the undertaking of the jobseeker to reimburse the office for costs incurred for his/her education and training for the labour market if he/she ends education and training for the labour market prematurely with serious reasons as defined in paragraph 14,
- i) other agreed particulars.

(13) An agreement concluded between an office and a provider of education and training for the labour market or between a legal entity or natural person as defined in section 2(1)(m) and a provider of education and training for the labour market shall include

- a) the identification data of the parties to the agreement,
- b) the name and address of the educational establishment,
- c) the location of education and training for the labour market.
- d) the name of the educational activity, the duration of education and training for the labour market including its start and end dates, the hourly schedule of the educational activity,
- e) the method for testing knowledge acquired by completing the education and training for the labour market,
- f) the offer price for payment of costs under paragraph 4 and expenditure under paragraph 5 per participant,
- g) the number of jobseekers for whom the office is arranging education and training for the labour market or the number of jobseekers for who education and training for the labour market is being arranged by a legal entity or natural person as defined in section 2(1)(m),
- h) the total price offer for costs under paragraph 4 and expenditure under paragraph 5 that will be paid by the office or the legal entity or natural person as defined in section 2(1)(m),
- i) the method and periods for payment of costs under paragraph 4 and expenditure under paragraph 5,
- j) the method and periods for the provision of payment of reimbursement of costs under paragraph 4 and expenditure under paragraph 5 if the office or the legal entity or natural person as defined in section 2(1)(m) agree on the reimbursement of such costs and expenditures with the provider of education and training services for the labour market,

k) other agreed particulars.

(14) A jobseeker may interrupt education and training for the labour market or withdraw from an agreement for serious health reasons, serious family reasons or serious personal reasons that arise during education and training for the labour market; the seriousness of the reasons shall be assessed by the office.

(15) The selection of providers of education and training services for the labour market for jobseekers shall be regulated by applicable legislation.^{18aa)}

ARTICLE 47

Education and preparation for the labour market for employees

(1) For the purposes of this act, education and preparation for the labour market for employees is provided by the employer in the interest of enhancing the employment prospects of their employees in the form of general education and preparation for the labour market for employees and specific education and preparation for the labour market pursuant to separate legislation.

(2) Education and preparation for the labour market for employees is carried out during working hours and represent an obstacle to work on the side of the employee; an employee is entitled to wage compensation for such a period equal to his or her average monthly earnings. Education and preparation for the labour market may only be provided outside working hours where the method of its presentation makes this necessary.

(3) The Office may provide an employer with a contribution for general education and preparation for the labour market for an employee and for specific education and preparation for the labour market for an employee up to the maximum set by separate legislation, if the employer will employ the employee for at least twelve months or if the education and preparation for the labour market for the employee takes place as part of measures to help prevent mass redundancies or limit mass redundancies.

(4) An agreement on the provision of a contribution towards education and preparation for the labour market for employees concluded pursuant to paragraph 3 shall include:

- a) the aim of education and preparation for the labour market,
- c) the duration of education and preparation for the labour market including the date when it starts and ends,
- c) a calculation of eligible costs per one participant,
- d) the level of reimbursement of eligible costs,
- e) conditions for the provision of reimbursement of eligible costs,
- f) conditions for the return of reimbursed eligible costs in the event of failure to comply with the agreement,
- g) other agreed particulars.

(5) If the Office provides an employer with a contribution pursuant to paragraph 3 amounting to more than 50% of eligible costs and the total amount of the provided grant is less than EUR 33 193,92, the employer must select the service supplier for education and preparation for the labour market by means of public call for tenders in accordance with separate legislation. If the Office provides an employer with a contribution pursuant to paragraph 3 amounting to more than 50% of eligible costs and the total amount of the provided contribution is EUR 33 193,92 or more, the employer must select the service supplier for education and preparation for the labour market for their employees using the procedure pursuant to separate legislation.

ARTICLE 49

Contribution for self-employment

(1) An office may provide a contribution for self-employment (hereinafter an “contribution”) to cover a part of the costs connected with self-employment for a jobseeker who has been registered in the register of jobseekers for at least three months, if paragraph 10 does not stipulate otherwise, and who will become a self-employed person as defined in article 5(1)(b) or (d), if he/she applies for the contribution in writing. A jobseeker who is granted a contribution shall be obliged to remain self-employed continuously for at least three years. The contribution shall not be granted to a jobseeker who is a citizen with a disability who has been granted a contribution under article 57 or who has been granted a contribution under section 60.

(2) The amount of the contribution shall be

- a) in the Bratislava Region up to 2.5 times total labour costs calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted,
- b) in other regions
 1. in districts where the average rate of registered unemployment is less than or equal to the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 3-times total labour costs calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted,
 2. in districts where the average rate of registered unemployment is greater than the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 4-times total labour costs calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted,

(3) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between the office and the jobseeker. The contribution shall be provided by the office in whose territory the citizen creates the job in which he/she will be self-employed. An integral part of the application shall be a business plan including the forecast cost of starting the business in which the applicant will be self-employed; this plan will be submitted to the commission for assessment pursuant to article 18(4). The particulars of the business plan and criteria for evaluating the efficiency, feasibility and effectiveness of the business plan shall be set by the Central Office in an internal regulation.

(4) Total labour costs shall be calculated for the purposes of this Act as the sum of the average pay of an employee in the economy of the Slovak Republic published by the Statistical Office of the Slovak Republic for the period concerned and advance payments of insurance contributions for compulsory public health insurance and social insurance and compulsory contributions to old-age pension saving paid by the employer.

(5) The office shall pay at most 60% of a contribution under paragraph 6(d) within 30 calendar days of the conclusion of an agreement on provision of the contribution and the remainder after submission of the first report pursuant to paragraph 6(i) after 12 months of self-employment.

(6) An agreement on the provision of a contribution pursuant to paragraph 3 shall include

- a) the identification data of the parties to the agreement,
- b) the activities performed, according to the statistical classification of economic activity,
- c) the date of the start of self-employment,
- d) the amount of the contribution, its specification and method of payment,

- e) the conditions for provision of the contribution,
- f) the method for checking compliance with the agreed conditions,
- g) the conditions and method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
- h) the jobseeker's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,
- i) the jobseeker's undertaking to submit a report on his/her self-employment and the use of the provided contribution for each year of self-employment in the period covered by the agreement,
- j) the jobseeker's undertaking to present documents proving payment of the costs under paragraph 1,
- k) other agreed particulars.

(7) The office may provide training for starting self-employment for a jobseeker who is preparing to start self-employment. Training to start self-employment shall include elaboration of a business plan.

(8) A citizen who has received a contribution and does not comply with the obligation to remain in self-employment continuously for at least three years shall return a part of the provided contribution proportionate to the period in which he/she was not self-employed; this shall not apply to a citizen who ceases self-employment for health reasons supported by an assessment under article 19(1)(c) or due to his/her death. If a citizen is granted a contribution and does not comply with the obligation to remain in self-employment continuously for at least three years for health reasons supported by an assessment under article 19(1)(c), he/she shall account for the use of the contribution to the office and return the unused part of the provided contribution.

(9) An office can provide a contribution to a jobseeker again no earlier than eight years from the start of self-employment for which he/she was granted a contribution.

(10) If a jobseeker suspended, interrupted or ceased self-employment in a period of six months before registration in the register of jobseekers, an office may provide him/her with a contribution if he/she has been registered in the register of jobseekers for at least 12 months.

ARTICLE 50

Contribution to support the employment of a disadvantaged jobseeker

(1) An office may pay an employer the contribution to support the employment of a disadvantaged jobseeker (hereinafter the "contribution") if the employer takes on in a newly created job a disadvantaged jobseeker who has been registered in the register of jobseekers for at least three months if employment is agreed for at least half the weekly working time and the employer applies for the contribution in writing. The contribution is provided to cover a part of total labour costs for an employee. The contribution shall not be provided for employment of a disadvantaged jobseeker if the contribution has been provided under article 50j, article 56a or article 60 for the same jobseeker's employment for the same period.

(2) The monthly amount of the contribution shall be

- a) in the Bratislava Region 25% of total labour costs up to a maximum of 25% of total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted,
- b) in other regions
 - 1. in districts where the average rate of registered unemployment is less than or equal to the national average in the calendar year preceding the calendar year in which the contribution is granted, 30% of total labour costs up to a maximum of 30% of total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first

to third quarter of the calendar year preceding the calendar year in which the contribution is granted,

2. in districts where the average rate of registered unemployment is less than or equal to the national average in the calendar year preceding the calendar year in which the contribution is granted, 40% of total labour costs up to a maximum of 40% of total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted.

(3) The contribution shall be provided based on a written agreement on the provision of a contribution concluded between the office and an employer for at most 12 calendar months and in the case of a disadvantaged jobseeker registered in register of jobseekers for at least 24 months, for at most 24 calendar months. The calculation for the amount of the contribution in paragraph 2 corresponds to employment agreed for the set weekly working time; if employment is agreed with shorter working time, the amount of the contribution shall be reduced proportionately.

(4) The employer shall be obliged to maintain the created job for which the contribution was provided for a period equal to at least half the period for which the contribution is agreed. If the employer does not comply with the obligation under the first sentence, a part of the provided contribution shall be returned to the office in proportion to the period for which the created job was not retained.

(5) A job shall be deemed to have been created by an employer if there is an increase in the number of jobs such that there is a larger overall number of employees on average over a period of 12 calendar months compared to the previous period of the same length. If the number of jobs does not increase in accordance with the first sentence, the employer must demonstrate that an increase did not take place due to the cancellation of redundant jobs.⁴⁶⁾

(6) The contribution shall be provided to an employer by the office in whose territory the employer creates the job.

(7) An employer cannot temporarily assign an employee for whose employment the contribution has been provided to work for a using employer.³⁵⁾

(8) An agreement on the provision of the contribution pursuant to paragraph 3 shall include

- a) the identification data of the parties to the agreement,
- b) the characteristics of the job or jobs,
- c) the number, occupational and qualification structure of the employee or employees taken on in jobs and the extent of agreed working time,
- d) the date from which the job or jobs are filled,
- e) the amount of the contribution, its specification and method of payment,
- f) the conditions for provision of the contribution,
- g) the method for checking compliance with the agreed conditions,
- h) the conditions and date of settlement of the provided contribution,
- i) the obligation and method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled or in the event of a substantive violation of the agreement,
- j) the employer's undertaking to present the employment contract of the employee or the employment contracts of the employees within the set period and to notify the office within ten calendar days of the termination of employment,
- k) the employer's undertaking to retain a supported job or jobs for a period in accordance with the paragraph 4,
- l) the employer's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,

m) other agreed particulars.

ARTICLE 50b

Integration of disadvantaged jobseekers in a social enterprise

- (1) For the purposes of this act a social enterprise is a legal entity or natural person that
- a) employs employees who were disadvantaged job seekers prior to their employment and such employees make up the least 30% of the enterprise's total number of employees,
 - b) provides support and assistance in finding employment in the open labour market for employees who were disadvantaged job seekers prior to their employment,
 - c) uses at least 30% of the funds obtained annually from income from standard activities remaining after the payment of all operating costs in the relevant tax period to create new jobs or improve working conditions,
 - d) is registered in the register of social enterprises.

(2) To support and assist employees in finding employment in the open labour market, the social enterprise shall cooperate with the Office and legal entities and natural persons that support or provide integration in the labour market for disadvantaged job seekers.

(3) A natural person may be recognised as a social enterprise if he or she has a blameless reputation. In the case of a legal entity, the condition of blameless reputation must be satisfied by the person who acts in the name of the legal entity; for the purposes of this act, blameless reputation is documented by an extract from the criminal register no more than three months old.

(4) The Central Office shall grant social enterprise status by a decision based on a written application submitted by a legal entity or natural person if the conditions laid down in paragraphs 1 (a) to (c) and paragraph 3 are satisfied. Social enterprise status can also be granted to a sheltered workshop or sheltered workplace subjects to the conditions laid down in the previous sentence. The Central Office shall not recognise the status of a social enterprise in the case of a legal entity or natural person that has been granted a licence to carry out the activities of a temporary employment agency under article 29.

(5) The Central Office shall grant social enterprise status for an unlimited period. The Central Office may change, suspend or cancel the decision granting social enterprise status or issue a duplicate of the decision based on a written request of the social enterprise or a written recommendation of the Office. The Central Office shall issue a duplicate in the event of the loss, theft or invalidation of the decision granting social enterprise status or in the event of the loss of a decision on the change, suspension or cancellation of social enterprise status.

- (6) An application for the granting of social enterprise status shall state
- a) the name, seat and identification number of the applicant in the case of a legal entity or the name, surname, personal identification number and address of permanent residence of the applicant in the case of a natural person,
 - b) the form of activity according to the statistical classification of economic activity,
 - c) the date as of which the legal entity or natural person requests the granting of social enterprise status.

- (7) An application for the granting of social enterprise status shall also include
- a) the business plan including a calculation of expected income, expenditure and profit before distribution,

- b) documentation of compliance with the conditions laid down in paragraphs 1 (a) to (c) and paragraph 3,
- c) an extract from the commercial register or another document permitting the applicant to operate as a business and to perform its declared activities,
- d) documentation of ownership of premises or the rental of premises,
- e) proof of material readiness to perform the declared activities of the social enterprise,
- f) a list of cooperating subjects,

(8) The register of social enterprises shall be kept by the Central Office. The Central Office shall carry out registration in the register of social enterprises on the date stated in the application for the granting of social enterprise status. If the application does not state a date as of which the legal entity or natural person requests the granting of social enterprise status or if the decision on the granting of social enterprise status is issued later than the date stated in the application for the granting of social enterprise status, the Central Office shall carry out registration in the register of social enterprises on the date stated in the decision on the granting of social enterprise status. The Central Office shall make the register of social enterprises available on its website.

- (9) The register of social enterprises shall state
- a) the name, seat and identification number of the applicant in the case of a legal entity or the name, surname, personal identification number and address of permanent residence of the applicant in the case of a natural person,
 - b) the form of activity according to the statistical classification of economic activity,
 - c) changes or cancellation of matters recorded in the decision on the granting of social enterprise status.

(10) If a social enterprise fails to comply with the conditions pursuant to this act for at least 12 calendar months, the Central Office shall cancel the granted social enterprise status. The Central Office shall grant social enterprise status no earlier than two years after the cancellation of a previous social enterprise status.

- (11) The social enterprise must
- a) ensure protection of the personal data of its employees,
 - b) create conditions for the performance of controlling in relation to its activities and provide information and documentation requested by the controlling authorities,
 - c) submit to the Central Office an annual report on the results of its activities in the structure pursuant to letters a) to c) of paragraph 1,
 - d) notify the central of office of all changes in the information given in the decision on the granting of social enterprise status.

ARTICLE 50j

Contribution supporting the development of local and regional employment (comes into force 1 May 2013)

(1) An office may provide the contribution supporting the development of local and regional employment (hereinafter the “contribution”) to an employer under paragraph 2 if the employer takes on as an employee for a fixed term a disadvantaged jobseeker under article 8(1)(b) and (d) who was registered in the register of jobseekers for at least three months or a disadvantaged jobseeker under article 8(1)(c) and employment is agreed for at least half the set weekly working time and if the employer applies for the contribution in writing. The contribution shall not be provided for employment of a disadvantaged

jobseeker if the contribution under article 50, article 56a or article 60 has been provided for the same jobseeker's employment for the same period.

(2) The contribution can be provided to an employer who is

- a) a municipality or self-governing region,
- b) a legal entity whose founder or establisher is a municipality or self-governing region.

(3) The monthly amount of the contribution shall be 80% of total labour costs up to a maximum of 60% of total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted.

(4) The contribution shall be provided for at most nine calendar months without the possibility of repeat provision for the employment of the same employee during the two years immediately following the end of employment under paragraph 1.

(5) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between an office and an employer. The contribution shall be provided to the employer by the office in whose territory the employer creates the job.

(6) An employer cannot temporarily assign an employee for whose employment the contribution has been provided to work for a using employer.³⁵⁾

(7) An agreement on the provision of the contribution pursuant to paragraph 5 shall include

- a) the identification data of the parties to the agreement,
- b) the characteristics of the job or jobs,
- c) the number and the occupational and qualification structure of disadvantaged jobseekers under paragraph 1 who are taken on in employment for a fixed term,
- d) the start date of fixed term employment and the agreed fixed term of employment,
- e) the maximum total labour costs for each disadvantaged jobseeker under paragraph 1 who is employed,
- f) the conditions and method for provision of the contribution,
- g) the method for checking compliance with the agreed conditions,
- h) the conditions and date of settlement of the provided contribution,
- i) the method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
- j) the employer's undertaking to submit the employment contracts of the employees to the office within the set period and to notify the office within 30 calendar days of every termination of employment,
- k) the office's undertaking to provide the contribution to the employer within the agreed period, no more than 30 days from the submission of documents by the employer,
- l) the employer's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,
- m) other agreed particulars.

ARTICLE 50k

Contribution supporting the retention of jobs

(1) An office may provide the contribution supporting the retention of jobs (hereinafter the "contribution") to an employer who has retained jobs for at least three months before submission of the application despite serious operational problems specified in a written agreement with employees' representatives,⁵⁰⁾ as a result of which, and after agreement with the office, it has limited its operations for a transitional period by reducing the work assigned to employees by at least 6% and at most 20% of set weekly working time. The contribution shall not be provided to an employer prohibited by applicable

legislation,⁵⁸⁾ or to support the retention of the job of an employee for whose employment in the same period the contribution was provided pursuant to article 50, article 50j, article 56a or article 60.

(2) The monthly amount of the contribution shall be 50% of wage compensation paid to an employee,⁵⁰⁾ up to a maximum of 50% of the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted.

(3) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between an office and an employer. The contribution shall be provided to the employer by the office in whose territory the employer retains jobs, if the employer applies for the contribution in writing. An application for provision of the contribution shall include a written agreement with employees' representatives,⁵⁰⁾ an implementation plan for removing the limits on operations and a statement of the forecast end date of the transitional period.

(4) The contribution shall be provided for at most 12 months. The contribution shall be provided for days on which an employee was provided with wage compensation, in aggregate at most 60 days, if the agreement on provision of the contribution was concluded for a 12-month period. If the agreement on provision of the contribution was concluded for a period of less than 12 months, the aggregate number of days for which the contribution shall be provided shall be reduced proportionately.

(5) The employer cannot temporarily assign an employee for whom the contribution has been provided to work for a using employer.³⁵⁾

(6) An agreement on the provision of a contribution under paragraph 3 shall include

- a) the identification data of the parties to the agreement,
- b) the start and end date of support for retention of jobs,
- c) the number of employees and their occupational structure,
- d) the amount of wage compensation provided to an employee,⁵⁰⁾
- e) the conditions and method for provision of the contribution,
- f) the office's undertaking to provide the contribution within the agreed period, no more than 30 days from the submission of documents by the employer,
- g) the employer's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,
- h) other agreed particulars.

ARTICLE 51

Contribution for the Graduate Practice

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(1) Graduate practice, for the purposes of this Act, permits the acquisition of vocational skills and practical experience in work for an employer corresponding to the achieved level of education of the graduate in relevant areas of training or study.³⁹⁾

(2) Graduate practice can take place based on a written agreement on graduate work experience concluded between a graduate registered in the register of jobseekers for at least one month and an office and based on a written agreement concluded between the office and an employer.

(3) Graduate practice lasts for at least 3 months and at most 6 months, without the possibility of extension or repetition, with 20 hours of work per week. The start date of graduate practice and its extent

shall be set by the employer. After the completion of graduate practice the employer shall issue confirmation of the performance of graduate practice to the graduate.

(4) During performance of graduate practice the office may provide the graduate with a regular monthly payment equal to 65% of the subsistence minimum for one adult according to the applicable legislation^{13a}) to cover necessary personal costs connected with the performance of graduate work experience; the monthly contribution shall be reduced for days off under paragraph 6 and for other days of absence from graduate practice according to records of attendance submitted to the office in accordance with paragraph 8(d). The resulting amount shall be rounded to the next eurocent upwards. The office shall reimburse the graduate for accident insurance premiums paid during the performance of graduate practice.

(5) During the performance of graduate practice, the graduate shall be entitled to ten days of leave. This right can be exercised at the earliest after two months of performing graduate practice.

(6) In addition to the ten days of leave, the employer shall excuse the graduate's absence from graduate practice on grounds of temporary incapacity for work or care for a family member.

(7) The agreement under paragraph 2 concluded between an office and a graduate shall include in particular:

- a) an undertaking of the office to arrange graduate practice for the graduate with the agreed employer,
- b) the graduate's undertaking to perform graduate practice with the employer agreed with the office,
- c) the start date and duration of graduate practice,
- d) the type practical experience and its method of acquisition, the type of job in which graduate practice will take place,
- e) the graduate's undertaking to comply with generally applicable legislation, the employer's internal regulations and regulations to ensure occupational safety and health during graduate practice, with which he/she has been verifiably familiarised,
- f) the graduate's undertaking to reimburse the office for any damage caused to the employer by his/her deliberate action,
- g) the graduate's undertaking to take out accident insurance during performance of graduate practice,
- h) the office's undertaking to pay the graduate a regular contribution in accordance with paragraph 4 within 15 working days of the end of the calendar month for which the regular contribution is provided.

(8) The agreement under paragraph 2 concluded between an office and an employer shall include in particular

- a) the employer's undertaking to create conditions for the graduate to carry out graduate practice,
- b) the type of practical experience and its method of acquisition, the type of job in which graduate practice will take place and the function or occupation of the natural person under whose supervision the jobseeker will perform graduate practice,
- c) the employer's undertaking to verifiably familiarise the graduate with generally applicable legislation, the employer's internal regulations and regulations to ensure occupational safety and health during graduate practice,
- d) the employer's undertaking to keep records of the graduate's attendance and to submit them to the office monthly by the tenth working day of the following calendar month,
- e) the employer's undertaking to notify the office of the graduate's non-participation in graduate practice or early termination of graduate work experience within two working days,
- f) the employer's undertaking to allow authorised employees of the office to check implementation of the agreement,
- g) the employer's undertaking not to reduce its number of jobs after taking on a jobseeker performing graduate practice.

ARTICLE 52

Allowance for activation by small municipal services for the municipality or in the form of services for small self-governing region

(1) Activation of smaller activities by means of general services for the municipality or through small self-governing county services for the purposes of this Act is to promote the maintenance work habits long-term unemployed, which is the recipient of material need benefits and contributions to the benefit in material need. During the implementation of small community service for the village is a job-seeker cannot attend services for small autonomous region or voluntary service under § 52a. During the implementation of services for small autonomous region, the job seeker can participate in minor municipal services or voluntary community service pursuant to § 52a.

(2) Less general services for the municipality organized the municipality or budgetary organization or contributory organization whose founder is the municipality for the purposes of this Act is a form of activation activity long-term unemployed out the work intended to improve economic conditions, social conditions, cultural conditions, creation, protection, maintenance and improvement of the environment of community residents, the conservation and preservation of cultural heritage, promoting education, development and delivery of social services and other activities in social development and protection of spiritual and cultural values, supplementary training of children and youth and development and support community activities.

(3) services for smaller autonomous region organized by regional governments or budgetary organization or contributory organization whose founder or founders of the self-governing regions for the purposes of this Act is a form of activation activity long-term unemployed out the work intended to create, protect, maintain and improving the environment and to help eliminate incidents and their consequences. Participation in long-term unemployed to carry out minor service is optional.

(4) Less general services for the municipality or services for smaller autonomous region long-term unemployed citizens to carry out a continuous period not exceeding six calendar months in not more than 20 hours per week except the week in which the trigger action began, with the possibility of re-implementing the most over the next twelve calendar months.

(5) For the purposes of organizing smaller municipal services for the local community by the competent authority provides to the municipality once a month on long-term unemployed, which led in evidence, these data

- a) name and date of birth,
- b) street, village or city district of residence
- c) level of education attained, acquired professional skills, or type of work performed to date,
- d) the length registering as job seekers
- e) information on whether the receiving material núdzi.49)

(6) For the purpose of organizing services for small local city autonomous region self-governing region competent authority at its request information on long-term unemployed, led in evidence, the extent specified in paragraph 5 The local competent authority in the first sentence is the authority within the territorial district of Region in whose territory the autonomous region less interested in organizing services.

(7) The Office provides to the municipality or self-governing region príspevok that can be used to cover part nákladov for personal protective work equipment, accident insurance, long-term unemployed, often costly na časti working tools and other costs relating to the operation of small municipal services for the municipality or services for small self-governing region and the payment of the total labor official who organizes the activation.

(8) The contribution pursuant to paragraph 7 shall be provided under a written agreement concluded between the Authority and the municipality or authority and regional governments to cover part of the costs associated with implementation of minor municipal services or community services for small autonomous region, a monthly maximum of 7 % during the first six calendar months and a maximum of 4% over the next twelve calendar months, to cover part of the total employee cost of labor to organize smaller public services for the municipality or minor services for self-governing region, a month more than 3% of total labor according to § 49 paragraph. 4, calculated from the average wage of employee in economy of the Slovak Republic for the first-third quarter of the calendar year preceding the calendar year in which the allowance is granted on a long-term unemployed executing smaller public services or community services for small self-governing region.

(9) Provides post office in the district has long-term unemployed resident.

(10) The agreement concluded pursuant to paragraph 8 contains

- a) personal data and the identification of participants,
- b) the number of unemployed people received minor to perform community service for a small municipality or autonomous region for the service, the duration of the implementation of one long-term unemployed,
- c) the nature and extent of the minor municipal services or community services for small self-governing region
- d) the total amount, date and duration of the contribution pursuant to paragraph 8,
- e) the number of employees who are organizing the implementation of minor municipal services or community services for small autonomous region long-term unemployed and the range of weekly hours worked per employee, which organizes the implementation of smaller and smaller municipal services
- f) an undertaking to the Authority that a contribution pursuant to paragraph 8 a month, no later than 30 calendar days of the agreed documents
- g) the obligation of the municipality or autonomous region, that any failure to notify the office hours of the implementation of smaller scale community service for a small municipality or autonomous region services for long-term unemployed,
- h) the obligation of the municipality or autonomous region, not later than 15 calendar days, notify the office of each employee's termination of employment, which organizes smaller public services for the municipality or services for smaller autonomous region,
- i) the terms of the contribution,
- j) the manner of enforcement of the agreed conditions
- k) the manner and period of repayment of the contribution or part thereof for failure to meet agreed conditions
- l) Other agreed requirements.

(11) Where a municipality or autonomous region violated the agreement concluded with the Authority pursuant to paragraph 10 and the Authority therefore withdraw from this Agreement, a new agreement may be concluded soon after twelve months following the resignation of the Office since the previous agreement.

(12) The Office concludes a long-term unemployed agreement concerning the conditions for minor municipal services or community services for small autonomous region, which includes

- a) personal data and the identification of participants,
- b) the type of minor municipal services or community services for small self-governing region

- c) the commencement and duration of the implementation of minor municipal services or community services for small self-governing region
- d) an undertaking to the Authority to ensure long-term unemployed carry out minor communal services for small municipality or autonomous region for services,
- e) a commitment to long-term unemployed to perform services for smaller public or community service for smaller autonomous region provided by the Office,
- f) a commitment to long-term unemployed to comply with internal regulations and instructions of the municipality or autonomous region, and regulations to ensure the safety and health in carrying out minor municipal services or community services for small autonomous region, which was shown to be warned
- g) Other agreed requirements.

(13) If the long-term unemployed can participate in minor municipal services or community services for small autonomous region because of its temporary inability to work, it shall so notify the Office within three working days after the onset of temporary incapacitation. If temporary incapacity long-term unemployed during the implementation of minor municipal services or community services for small autonomous region for more than 30 calendar days, the Authority withdraws from the agreement.

ARTICLE 52a

Contribution for activation activity in the form of voluntary service

(1) For the purposes of this act, voluntary service shall be a form of activation for a job seeker through the performance of voluntary activities whose objective is the acquisition of practical experience for the needs of the labour market. During the performance of voluntary activities, the job seeker may provide aid as follows:

- a) in the care for unemployed persons, disabled citizens, immigrants, persons who have been recently released from prison, drug addicts and persons with other forms of addiction, minors and other persons dependent on the care of others, family or in providing public benefit services and other services in the area of social affairs, health care, education, culture, sport, in the formation, protection, upkeep or improvement of the environment, in care for the protection and preservation of cultural heritage, in the performance of cultural events and collections for charity for persons pursuant to this provision, in consumer protection and in contact with the public,
- b) in the event of natural catastrophes, ecological catastrophes, humanitarian aid and civil defence.

(2) A job seeker may carry out voluntary service for a legal entity or natural person whose activities in areas pursuant to paragraph 1 are not carried out for the purpose of achieving a profit, for a period of 20 hours per week continuously for at most six calendar months. The participation of the job seeker in the performance of voluntary service shall be voluntary. During the performance of voluntary service as a job seeker may not carry out activation activity pursuant to § 52.

(3) During the performance of voluntary service the office shall provide the job seeker with a flat rate contribution equal to the subsistence minimum provided to one adult natural person pursuant to separate legislation^{46e}) to cover essential expenditure for food and drink, accommodation and travelling expenses from the place of permanent or temporary residence to place where voluntary service is performed. The flat rate contribution shall be reduced by a proportionate amount for days of excused or unexcused absence from the place of the performance of voluntary service based on the records of attendance pursuant to letter g) of paragraph 9. Resulting amount is rounded to the nearest euro cent

(4) The office shall provide a contribution to a legal entity or natural person as defined in paragraph 2; this contribution may be used to cover a part of costs necessary for the eligible performance of voluntary service and the operation of voluntary services, for accident insurance for job seekers, to

cover fees for certification that the job seeker satisfies health requirements if the legal entity or natural person requires it, to cover a part of the cost of personal protective equipment, work equipment and a part of other costs relating to the performance of voluntary service and to cover a part of the overall cost of work of an employee that organises voluntary service. The purpose for which the contribution shall be used shall be agreed pursuant to paragraph 9.

(5) The contribution pursuant to paragraph 4 is provided monthly based on a written agreement concluded between the Office and the a legal entity or natural person pursuant to paragraph 2 in the first six months of 7 % of the overall cost of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided for each job seeker performing voluntary service, of which at most 3% to cover a part of the overall cost of work of the employee who organises voluntary service for each job seeker performing voluntary service.

(6) The contribution pursuant to paragraph 4 shall be provided to a legal entity or natural person pursuant to paragraph 2 if, as at the date of submission of the written application for the contribution, they have performed the activities pursuant to letter a) of paragraph 1 for at least 1 year; this condition need not be satisfied for the performance of activities pursuant to letter b) of paragraph 1.

(7) A job seeker may only repeat performance of voluntary service in the areas pursuant to letter b) of paragraph 1.

(8) The contribution shall be provided by the Office in whose territory voluntary service is performed.

- (9) The agreement concluded pursuant to paragraph 5 shall state
- a) the personal data and identifying data of the contracting parties,
 - b) the number of job seekers performing voluntary service and the duration of the performance of voluntary service by each job seeker,
 - c) the type, working hours and conditions for voluntary service,
 - d) the total amount, purpose and duration of provision of the contribution pursuant to paragraph 5,
 - e) the number of employees who organise the performance of voluntary service by job seekers and the weekly schedule of hours worked by each employee, who organises the performance of voluntary service by job seekers,
 - f) the undertaking of the Office to pay the contribution pursuant to paragraph 5 monthly no later than 30 calendar days after the submission of the agreed documents,
 - g) the undertaking of the legal entity or natural person to keep records of the attendance of each job seeker and to submit them to the Office monthly within five working days after the end of the calendar month,
 - h) the undertaking of the legal entity or natural person to inform the Office of every failure to comply with the set number of hours of performance of voluntary service by a job seeker,
 - i) the undertaking of the legal entity or natural person to inform the Office no later than 15 calendar days after the termination of the employment of an employee who organises voluntary service,
 - j) the conditions for provision of the contribution,
 - k) the method for checking compliance with the agreed conditions,
 - l) the method and deadline for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - m) other agreed particulars.

(10) If the legal entity or natural person pursuant to paragraph 2 fails to comply with the agreement concluded with the Office pursuant to paragraph 9 and the Office withdraws from the agreement for this

reason, a new agreement cannot be concluded earlier than the end of six months from the Office's withdrawal from the previous agreement.

(11) The Office shall conclude an agreement with the job seeker on the conditions for the performance of voluntary service stating

- a) the personal data and identifying data of the contracting parties,
- b) the type of voluntary service performed,
- c) the start and duration of the performance of voluntary service,
- d) the undertaking of the Office to arrange the performance of voluntary service by the job seeker,
- e) the undertaking of the job seeker to perform the voluntary arranged by the Office,
- f) the undertaking of the job seeker to abide by the internal regulations and instructions of the organiser of voluntary service and occupational health and safety regulations relating to the performance of voluntary service, their familiarity with which shall be documented,
- g) the undertaking of the job seeker to reimburse the Office for loss or damage caused to the legal entity or natural person pursuant to paragraph 2 with deliberate intent,
- h) the undertaking of the Office to pay the job seeker the flat rate contribution pursuant to paragraph 3 no later than 30 days after the end of the calendar month for which the flat rate contribution is provided.
- i) other agreed particulars.

ARTICLE 53

Contribution for travel to work

(1) The office shall provide a monthly contribution for travel to work (hereinafter only the "contribution") to cover a part of an employee's travel costs for commuting from his/her place of permanent residence or place of temporary residence to the place of employment specified in his/her employment contract and back if the employee was a jobseeker registered in the register of jobseekers for at least three months who was removed from the register of jobseekers for the reason in article 36(1)(a) and if he/she applies for the contribution in writing no later than one month after starting employment. The contribution can be provided again after two years from the end of provision.

(2) The contribution shall be provided to an employee for at most six months from the start of employment.

(3) The contribution shall be provided to cover travel costs using public transport up to a maximum of EUR 135 per month depending on the distance of the place of employment from the place of permanent or temporary residence. The contribution shall not be provided to an employee who commutes from his/her place of permanent or temporary residence to the place of employment specified in his/her employment contract within one municipality.

(4) The contribution shall be provided by the office in whose register of jobseekers the employee was registered within 30 calendar days of presentation of proof of continuation of employment.

ARTICLE 53a

Contribution for relocation for work

(1) The contribution for relocation for work (hereinafter referred to as "the contribution") covers part of documented relocation expenses of a job seeker from his or her place of permanent residence for reasons of employment up to a maximum amount of 1 327,76 EUR if the location of the new permanent residence on the territory of the Slovak Republic to which he or she relocates for reasons of employment is at least 50 km from the original location of his or her permanent residence.

(2) Expenses for relocation for work include documented expenses for the first payment of rental and first payments related to the use of a flat.

(3) The Office shall provide a contribution for commuting to work to a citizen who was a job seeker registered in the register of job seekers for at least three months who was removed from the register of job seekers for reasons pursuant to letter a) of § 36 (1) if he or she requests such a contribution in writing. A citizen may request the contribution no later than 12 months from the change of his or her permanent residence for reasons of employment.

(4) The Office shall provide the contribution after the presentation of proof of the change of the place of permanent residence of the employee.

(5) If two persons married to each other submit requests that satisfy the conditions pursuant to paragraph 3, the office shall provide the contribution to only one of the spouses.

(6) The contribution shall be provided in a single instalment once in two years.

ARTICLE 53b

Contribution for transport to the place of employment

(1) The Office may provide the contribution for transport to the place of employment (hereinafter referred to as “the contribution”) to an employer on conclusion of a written agreement if the employer provides daily transport for employees to and from the place of employment on the grounds that there is no evidence that public transport is available at all or that the service provided satisfies the needs of the employer. The contribution cannot be provided if a contribution for transport to the place of employment has been provided pursuant to § 60.

(2) If the conditions pursuant to paragraph 1 are satisfied, a contribution may be provided up to the value of at most 50% of the costs incurred for the transport of employees to and from the place of employment.

(3) The Contribution is provided to the employer by the Office in whose territory is located the employer’s registered office or permanent residence, if the employer is a natural person.

- (4) The agreement on the provision of the contribution shall state
- a) the personal data and identifying data of the contracting parties,
 - b) the number of employees transported per month,
 - c) the distance of carriage in km,
 - d) expected monthly costs for the transport of employees,
 - e) the method for proving facts pursuant to paragraph 1,
 - f) the maximum amount of the contribution, its specification and the method for payment,
 - g) the conditions subject to which the contribution is provided,
 - j) the method for checking compliance with the agreed conditions,
 - i) the conditions and the date for settlement of the provided contribution,
 - j) the method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - k) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
 - l) the undertaking of the office to pay the contribution to the employer monthly no later than 30 calendar days after the submission of documents by the employer,
 - m) other agreed particulars.

ARTICLE 53d

Contribution for the creation of a new job

(1) Investment aid to support start-up investment in the form of a contribution for the creation of a new job (hereinafter referred to as “the contribution”) for which a decision on the provision of investment aid has been issued pursuant to separate legislation shall also be considered to be an active labour market measure.

(2) A contribution may be granted for partial reimbursement of eligible expenses up to the amount conditions and pursuant to special regulations employers who create new jobs in the district where the average registered unemployment rate is calculated from the available number of jobseekers published headquarters for the calendar year immediately preceding the calendar year in which the investment plan received by the Ministry of economy of the Slovak Republic and the Ministry of Transport, construction and Regional development of the Slovak Republic, in the case of investment aid for tourism, is higher than the average registered unemployment rate in Slovakia is calculated from the available the number of job seekers. Compliance with the conditions of the average registered unemployment rate calculated in accordance with the first sentence is not required to support the creation of technology centers and centers of strategic services.

(2) A contribution may be provided to an employer to cover a part of eligible costs up to a maximum level and subject to conditions pursuant to separate legislation if the employer creates new jobs in a district where the average rate of registered unemployment calculated from the number of job seekers available for work published by the Central Office for the calendar year immediately previous to the calendar year in which the request for provision of investment aid is delivered to the Ministry of Economy of the Slovak Republic is greater than the average rate of registered unemployment in the Slovak Republic calculated on the basis of the number of job seekers available for work. Compliance with conditions of the average registered unemployment rate calculated according to the first sentence is not required to support the creation of technology centres and strategic service centres.

(3) The contribution shall be provided by the Central Office based on an agreement on the provision of a contribution for the creation of a new job concluded with the employer.

(4) The agreement pursuant to paragraph 3 shall state

- a) the personal data and identifying data of the contracting parties,
- b) the number and occupation structure of the jobs that will be created,
- c) the date by which the new jobs will be occupied by the agreed number of employees,
- d) the types of costs that the contribution may be used to cover,
- e) the amount, date and method for provision of the contribution,
- f) the method for checking compliance with the agreed conditions,
- g) the method and date for settlement of the contribution,
- h) the undertaking of the employer to return the contribution or a proportionate part thereof if it is not used in full by the agreed date or is not used for the agreed purpose or if, through fault of the employer, the contribution was received without legitimate reason or in a larger amount than that to which the employer was entitled; the period and conditions for its return,
- i) the conditions for revocation of the agreement,
- j) other agreed particulars.

(5) An employer who has received a contribution may not be granted another contribution from the funds intended for active labour market measures for the same purpose as this contribution was provided for while the agreement concluded with the Central Office is in effect.

ARTICLE 53e

Financial assistance to support the maintenance of employment in small enterprises and medium-sized enterprises

(Entered into force 15 November 2013)

(1) Ministry of Finance of the Slovak Republic (hereinafter the "Ministry of Finance") may support the maintenance of employment employer for small businesses and medium-sized enterprises (hereinafter referred to as "small employer") to provide financial assistance. Financial assistance is provided through selected banks or branches of foreign bank (the "Bank") in accordance with the Law on State Budget for the financial year under and subject to the conditions laid down in this Act and contract between the Ministry of Finance and the Bank; selection of banks by the Ministry of Finance and the results published on its website.

(2) The financial assistance referred to in paragraph 1 may be provided in the form of
a) guarantees for loans to banks,
b) Payment of interest on loans to banks (hereinafter referred to as "interest subsidies").

(3) The loan guarantee provided by the Bank for the purposes referred to in paragraph 1, the commitment of the Ministry of Finance to small employers is to satisfy its obligation under a credit agreement concluded between the bank and the small employer, if the small employer fails to comply with; this warranty does not constitute a guarantee. A guarantee may be granted if at the date of signing of the loan agreement

- a) small employer carries on business at least two periods,
- b) small employer has at least three employees in permanent employment,
- c) is not a small employer, which is an intermediate (§ 25) or a temporary employment agency (§ 29),
- d) does to a small employer

1. Social Insurance claims for social insurance or claims for compulsory contributions to superannuation overdue more than 180 days, or

2. the health insurance claims for insurance on compulsory health insurance overdue more than 180 days,

e) has been brought to a small employer bankruptcy or restructuring and

f) small employer meets the other conditions determined by the bank.

(4) The provision of the guarantee referred to in paragraph 3 shall not apply § 546 to 550 of the Civil Code and § 303-312 of the Commercial Code

(5) Interest may be granted to small employers from the state budget, if a small employer.

- a) the period specified in the credit agreement concluded between the bank and small employers maintain employment levels specified in the Loan Agreement and
- b) b) at the end of the period specified under point a) will have liabilities for social insurance, the compulsory contributions to superannuation or insurance to compulsory health insurance overdue to the social insurance or health insurance company over the amount stipulated in the agreement .

SUPPORT OF EMPLOYMENT OF DISABLED CITIZENS

ARTICLE 56

Contribution for the establishment of a sheltered workshop or sheltered workplace

(1) An office may provide an contribution for the establishment of a sheltered workshop or sheltered workplace (hereinafter the "contribution") to an employer who takes on as an employee in a job created in a sheltered workshop or sheltered workplace a jobseeker who is a citizen with a disability and who has been registered in the register of jobseekers for at least one month, if the employer applies for the contribution in writing.

(2) The contribution shall be provided to cover a part of the costs for creation of a job for a citizen with disabilities in a sheltered workshop or sheltered workplace. Costs for creation of a job pursuant to the first sentence shall be costs which are necessary to ensure performance of the work activity of a citizen with a disability and which relate to the creation of the job. The contribution shall not be provided to cover a part of payroll costs and advance payments of insurance contributions for compulsory public health insurance and social insurance and compulsory contributions to old-age pension saving paid by the employer for an employee who is a citizen with a disability who was taken on in a job created in a sheltered workshop or sheltered workplace in accordance with paragraph 1.

(3) The amount of the contribution for one job created in a sheltered workshop or sheltered workplace shall be

- a) in the Bratislava Region up to 4 times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,
- b) in other regions
 1. in districts where the average rate of registered unemployment is less than or equal to the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 4.8-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,
 2. in districts where the average rate of registered unemployment is greater than the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 5.2-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,

(4) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between an office and an employer. The contribution shall be paid to the employer by the office in whose territory the sheltered workshop or sheltered workplace is established. The application for the contribution shall include a business plan and a calculation of forecast costs for establishment of the sheltered workshop or sheltered workplace. The contribution shall be provided within 30 calendar days of the submission of evidence of costs incurred in accordance with paragraph 2; the employer shall be obliged to submit this evidence within 6 months of the date of conclusion of the agreement for provision of the contribution. The Central Office shall determine the required particulars of the business plan by means of an internal regulation.

(5) Jobs for the creation of which the contribution is provided can be filled only by jobseekers who are citizens with disabilities. Other citizens with disabilities can fill these jobs if they are temporarily vacant only with the prior consent of the office and for a period not exceeding nine calendar months.

(6) An employer to whom the contribution is provided shall be obliged to retain the jobs created in its sheltered workshop or sheltered workplace for at least two years. If the employer does not comply with the obligation laid down in the first sentence, a part of the provided contribution shall be returned to the office in proportion to the period for which the created job was not filled by a citizen with a disability.

(7) A job shall be deemed to have been created by an employer in a sheltered workshop or sheltered workplace if there is an increase in the number of jobs such that there is a larger overall number of employees on average over a period of 12 calendar months compared to the previous period of the same length. If the number of jobs does not increase in accordance with the first sentence, the employer must demonstrate that an increase did not take place due to the cancellation of redundant jobs.⁴⁶⁾

(8) The employer shall notify the office of all changes in the jobs in a sheltered workshop or sheltered workplace for which the contribution was provided within 30 calendar days.

(9) An agreement on the provision of the contribution pursuant to paragraph 4 shall include

- a) the personal data and identification data of the parties to the agreement,
- b) the characteristics of the job or jobs in the sheltered workshop or sheltered workplace,
- c) the number, occupation and qualification structure of the employees with disabilities taken on in the jobs created in a sheltered workshop or sheltered workplace,
- d) the date of creation of the job and the period for which the created job will be maintained in the sheltered workshop or sheltered workplace and the number of months of employment of citizens with disabilities in the job,
- e) the maximum amount of total labour costs for each citizen with a disability who is taken on,
- f) the conditions and method for provision of the contribution,
- g) the method for checking compliance with the agreed conditions,
- h) the conditions and date of settlement of the provided contribution,
- i) the conditions and method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
- j) the employer's undertaking to present the employment contracts of the employees within the set period and to notify the office within 30 calendar days of every termination of employment,
- k) the office's undertaking to pay the contribution no more than 30 days from the submission of documents,
- l) the employer's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,
- m) other agreed particulars.

ARTICLE 56a

Contribution for the retention in employment of a citizen with a disability

(1) An office may provide an contribution for the retention in employment of a citizen with a disability (hereinafter the "contribution") to an employer where more than 25% of the average registered number of employees according to section 63(3) are citizens with disabilities and the status of a sheltered workshop or sheltered workplace has not been recognised, if the employer applies for the contribution in writing. The contribution shall be provided for a citizen with a disability if employment is agreed for at least half the set weekly working time. The contribution shall not be provided if the contribution under article 50, article 50j or article 50k has been provided to the employer for the same employee who is a citizen with a disability for the same period.

(2) The contribution shall be provided to an employer to cover advance payments of insurance contributions for compulsory public health insurance and social insurance and compulsory contributions to old-age pension saving paid by the employer monthly from the pay of an employee falling under paragraph 1, up to a maximum of the advance payments for insurance contributions to compulsory public health insurance, contributions to social insurance and contributions to compulsory old-age pension saving paid by the employer calculated from 60% of the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided.

(3) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between an office and an employer. An application for provision of the contribution shall include information on the aggregate average registered number of employees and the average registered number of employees who are citizens with disabilities, on a quarterly basis cumulatively from the start of the year. The contribution shall be provided by the office in whose territory

the employer has its registered office, or his/her place of permanent residence if the employer is a natural person. The contribution shall be provided quarterly based on documents proving payment of advance payments of insurance contributions and compulsory contributions under paragraph 2, which the employer shall submit to the office no more than 30 calendar days from the end of the reporting quarter.

- (4) An agreement on the provision of the contribution pursuant to paragraph 3 shall include
- a) the number of employees for whom the contribution is provided and their occupational structure,
 - b) the method for the provision of the contribution,
 - c) the amount of the contribution,
 - d) the employer's undertaking to notify the office of every change in the agreed conditions within 30 calendar days,
 - e) the office's undertaking to pay the contribution no more than 30 days from the submission of documents,
 - f) the conditions and method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
 - g) other agreed particulars.

ARTICLE 57

Contribution to a citizen with a disability for self-employment

(1) An office may provide an contribution to a citizen with a disability for self-employment (hereinafter the "contribution") to cover a part of the costs connected with self-employment for a jobseeker who is a citizen with a disability and who has been registered in the register of jobseekers for at least three months, if paragraph 9 does not stipulate otherwise, who will become a self-employed person as defined in article 5(1)(b) or (d) and carry on his/her activities in a sheltered workplace, if he/she applies for the contribution in writing. A jobseeker who is granted the contribution shall be obliged to remain self-employed and carry on activities in the sheltered workplace continuously for at least two years. The contribution shall not be provided to cover advance payments of insurance contributions for compulsory health insurance and social insurance and compulsory contributions to old-age pension saving paid by a self-employed person who is a citizen with a disability, or to cover rent. The contribution shall not be granted to a jobseeker who is a citizen with a disability who has been granted a contribution under section 49.

- (2) The amount of the contribution shall be
- a) in the Bratislava Region up to 3.2 times total labour costs under article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,
 - b) in other regions
 1. in districts where the average rate of registered unemployment is less than or equal to the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 4-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,
 2. in districts where the average rate of registered unemployment is greater than the national average in the calendar year preceding the calendar year in which the contribution is granted, at most 4.8-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided,

(3) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between the office and the jobseeker who is a citizen with a disability. The

contribution shall be provided by the office in whose territory the citizen with a disability creates the sheltered workplace in which he/she will be self-employed. The application for provision of the contribution shall include a business plan in accordance with paragraph 6.

(4) The office shall provide at most 30% of the amount of the contribution according to paragraph 5(c) within 30 calendar days of the date of conclusion of the written agreement on the provision of the contribution and the remainder after submission of documentary evidence of payment of costs under paragraph 1; the citizen with a disability who is self-employed shall be obliged to submit this evidence within six months of conclusion of the agreement on provision of the contribution.

(5) An agreement on the provision of the contribution pursuant to paragraph 3 shall include

- a) the identification data of the parties to the agreement,
- b) the activities performed, according to the statistical classification of economic activity,
- c) the amount and method for provision of the contribution,
- d) the establishment date of the sheltered workplace and the start date of self-employment,
- e) the period for which the self-employed person will carry on activities in the sheltered workplace,
- f) the conditions for provision of the contribution,
- g) the method for checking compliance with the agreed conditions and the method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
- h) the undertaking of the citizen with a disability who begins work as a self-employed person in a sheltered workplace to notify the office of every change in the agreed conditions within 30 calendar days,
- i) the undertaking of the citizen with a disability who begins work as a self-employed person in a sheltered workplace to submit a report on his/her self-employment and the use of the provided contribution for each year of self-employment in the period covered by the concluded agreement,
- j) the jobseeker's undertaking to present documents proving payment of the costs under paragraph 1,
- k) other agreed particulars.

(6) The office shall arrange training for starting self-employment in a sheltered workplace for a jobseeker who is a citizen with a disability on receipt of a written request. Training for starting self-employment shall include preparation of a business plan including the forecast costs for establishment of a sheltered workplace, which will be the basis for assessment by the commission under article 18(4). The particulars of the business plan and criteria for evaluating the efficiency, feasibility and effectiveness of the business plan shall be set by the Central Office in an internal regulation.

(7) If a citizen with a disability is granted the contribution and does not comply with the obligation to carry on activities as a self-employed person in a sheltered workplace continuously for at least two years, he/she shall return a part of the provided contribution proportionate to the period in which he/she did not carry on activity as a self-employed person in the sheltered workplace; this shall not apply to a citizen who ceases self-employment for health reasons verified by an assessment under article 19(1)(c) or due to his/her death. If a citizen with a disability is granted the contribution and does not comply with the obligation to carry on activity as a self-employed person in the sheltered workplace continuously for at least two years for health reasons verified by an assessment under article 19(1)(c), he/she shall account for the use of the contribution to the office and return the unused part of the provided contribution.

(8) An office can provide the contribution to a jobseeker who is a citizen with a disability again no earlier than eight years from the start of self-employment for which he/she was granted the contribution.

(9) If a jobseeker who is a citizen with a disability suspended, interrupted or ceased self-employment in a period of six months before registration in the register of jobseekers, an office may grant him/her the contribution if he/she has been registered in the register of jobseekers for at least 12 months.

ARTICLE 59

Contribution for the activity of a work assistant

(1) Based on a written application from an employer who employs a citizen with a disability or a self-employed person who is a citizen with a disability, an office shall provide a contribution for the activity of a work assistant (hereinafter the “contribution”) if a work assistant is necessary for the type of disability of the employee or self-employed person or the type of work that he/she does. The application for provision of the contribution shall include information on the percentage reduction in the ability of the citizen with a disability to perform gainful activity, the characteristics of work activity the employee or self-employed person performs in his/her job and the length of working time, a justification of the need for the work assistant and the characteristics and scope of the work activity of the work assistant.

(2) A work assistant, for the purposes of this Act, shall be

- a) an employee who provides assistance to an employee or employees who are citizens with disabilities in performing work and daily living activities during working time,
- b) a natural person who provides assistance to a self-employed person who is a citizen with a disability in his/her activities as a self-employed person and activities of daily living during performance of his/her activities as a self-employed person.

(3) A work assistant must be over the age of 18 years and have legal capacity.

(4) The contribution shall be paid monthly at a rate of at least 41% and at most 70% of total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the agreement under paragraph 6 is concluded, for the activity of one work assistant during

- a) the employment of an employee who is a citizen with a disability or employees who are citizens with disabilities, for whom the work assistant provides care directly,
- b) the performance of activities as a self-employed person by a citizen with a disability.

(5) The contribution shall be provided based on a written agreement on the provision of the contribution concluded between an office and an employer that employs a citizen with a disability or between an office and a self-employed person who is a citizen with a disability. The contribution shall be provided by the office in whose territory the citizen with a disability performs work or his/her activities as a self-employed person.

(6) An agreement on the provision of the contribution pursuant to paragraph 5 shall include

- a) the number of employees who are citizens with disabilities and are in the direct care of one work assistant,
- b) the number of work assistants,
- c) the amount and method for provision of the contribution,
- d) the method for the provision of the contribution,
- e) the method for the return of the contribution or a part thereof if the agreed conditions are not fulfilled,
- f) other agreed particulars.

(7) A self-employed person who is a citizen with a disability shall conclude an agreement^{60a}) with his/her work assistant on the provision of assistance in the performance of activities as a self-employed person (hereinafter the “agreement”). The agreement shall include:

- a) the type and scope of activities performed by the work assistant,
- b) the place where the work assistant shall perform his/her activities,
- c) the agreed working time,
- d) the rights and obligations of the work assistant,
- e) the amount of remuneration and its method of payment,

f) grounds for withdrawal from the agreement.

(8) The self-employed person who is a citizen with a disability shall submit one counterpart or a copy of the agreement under paragraph 7 to the competent office.

ARTICLE 60

Contribution to cover operating costs of a sheltered workshop or sheltered workplace and to cover transport costs for employees

(1) A contribution to cover the operating costs of a sheltered workshop or sheltered workplace and to cover costs for employee transport (hereinafter the “contribution”) shall be provided to a legal entity or natural person who applies for it in writing no longer than the end of the first calendar month of the quarter following the quarter for which the contribution is requested.

(2) If the contribution is provided to an employer, it shall cover the following operating costs of a sheltered workshop or sheltered workplace:

- a) rent and costs for services connected with rent,
- b) costs connected with compulsory modifications and costs for insurance of the premises in which the sheltered workshop or sheltered workplace operates, if the employer owns the premises,
- c) fuel and energy costs,
- d) water, sewerage and waste disposal costs,
- e) costs for the transport of materials and finished products and costs for transport connected with provision of services,
- f) payroll costs and advance payments of insurance contributions for compulsory public health insurance and social insurance and compulsory contributions to old-age pension saving paid by the employer for employees who are citizens with disabilities,
- g) costs for the repair and maintenance of the premises in which the sheltered workshop or sheltered workplace operates if the employer owns the premises and the costs are related to operation of the sheltered workshop or sheltered workplace,
- h) costs for the repair and maintenance of equipment in the sheltered workshop or sheltered workplace if the employer owns the equipment,
- i) administrative costs connected with the operation of the sheltered workshop or sheltered workplace.

(3) If the contribution is provided to a citizen with a disability for his/her self-employment, it shall cover the following operating costs of a sheltered workshop or sheltered workplace:

- a) rent and costs for services connected with rent except for housing rent and costs connected with housing rent,
- b) costs connected with compulsory modifications and costs for insurance of the premises in which the sheltered workshop or sheltered workplace operates, if the citizen with a disability owns the premises,
- c) fuel and energy costs,
- d) water, sewerage and waste disposal costs,
- e) costs for the transport of materials and finished products,
- f) costs for advance payments of insurance contributions for compulsory public health insurance and social insurance and compulsory contributions to old-age pension saving paid by self-employed person who is a citizen with a disability,
- g) costs for the repair and maintenance of the premises in which the sheltered workshop or sheltered workplace operates if the citizen with a disability owns the premises and the costs are related to operation of the sheltered workshop or sheltered workplace,
- h) costs for the repair and maintenance of equipment in the sheltered workshop or sheltered workplace if the citizen with a disability owns the equipment,

i) administrative costs connected with the operation of the sheltered workshop or sheltered workplace.

(4) If the costs under paragraphs 2 and 3 include value added tax and the employer who operates a sheltered workshop or sheltered workplace or the citizen with disability who performs activities as a self-employed person in the sheltered workshop or sheltered workplace is not entitled to deduct VAT in accordance with the applicable legislation,^{46b}) value added tax shall be considered an operating cost of the sheltered workshop or sheltered workplace.

(5) Costs for employee transport under paragraph 1 shall be costs incurred by an employer in providing transport for employees who are citizens with disabilities to the place of work and back. The contribution shall not be provided if the contribution for transport to work and back under article 53b has been provided.

(6) The annual amount of the contribution provided by the office in whose territory the sheltered workshop or sheltered workplace is established shall be at most:

- a) 2.5-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted, for one citizen with a disability performing work in the scope of the set weekly working time,
- b) 5-times total labour costs as defined in article 49(4) calculated for the average pay of an employee in the economy of the Slovak Republic in the first to third quarter of the calendar year preceding the calendar year in which the contribution is granted, for one citizen with a disability whose ability to perform gainful activity is reduced by more than 70% due to a long-term adverse health condition, performing work in the scope of the set weekly working time,

(7) Before providing the contribution, an office shall verify the scope of weekly working time of the citizen with a disability for whom the contribution will be provided. If the scope of weekly working time is less than the set weekly working time, the amount of the contribution according to paragraph 6 shall be reduced proportionately.

(8) The competent office shall provide the contribution on receipt of documents proving expenditure for costs under paragraphs 2 to 5 for the reporting quarter up to a maximum of 25% of the amount laid down in paragraph 6 within 60 calendar days of submission of the application for provision of the contribution.

(9) The legal entity or natural person shall prove compliance with the obligations laid down in article 70(7) to the office once a year together with the first application for provision of the contribution submitted in the calendar year concerned. The legal entity or natural person shall notify the office within 30 calendar days of any change in the matters under article 70(7).

Temporary provisions in respect of the amendment effective as of 1 March 2009

ARTICLE 72e

(1) The conditions pursuant to Article 50b (1), letters b) and c) concerning awarding of the status of a social venture shall be considered fulfilled by a legal or natural entity which applies for the status of a social venture by 31 December 2010.

(2) By 31 December 2010, the natural entity which is a municipality, a self-governing region, an association of municipalities or a budgetary or subsidised organisation founded by a municipality or a self-governing region may include the employees who were job seekers before being employed into the amount of at least 30% of the total number of employees pursuant to Article 50b (1), letter a).

ARTICLE 72f

From 1 March 2009 to 31 December 2010, fulfilment of the condition of the average rate of registered unemployment pursuant to Article 53d (2), first sentence shall not be required for the purposes of Article 53d (2).

ARTICLE 72g

The allowance pursuant to Articles 50d to 50h shall be granted maximally by 31 December 2010.

Temporary provision in respect of the amendment effective as of 1 April 2009

ARTICLE 72h

(1) The conditions pursuant to Article 50b (1), letters a) to c) concerning awarding of the status of a social venture shall be considered fulfilled by a legal or natural entity which applies for the status of a social venture by 31 December 2010.

(2) By 31 December 2010, the natural entity which is a municipality, a self-governing region, an association of municipalities pursuant to a special regulation⁵³⁾ or a natural entity founded or established by a municipality or a self-governing region may include the employees who were job seekers before being employed into the amount of at least 30% of the total number of employees pursuant to Article 50b (1), letter a).

(3) By 31 December 2010, the social venture which is a municipality, a self-governing region, an association of municipalities pursuant to a special regulation⁶⁵⁾ or a social venture founded or established by a municipality or a self-governing region shall be granted the allowance pursuant to Article 50c also in respect of the employees who were job seekers before being employed.

(4) The provision of Article 72e shall not apply as of 1 April 2009.

Temporary provision in respect of the amendment effective as of 7 July 2009

ARTICLE 72i

(1) For the period from 1 January 2009 to 30 June 2009, the allowance to reimburse operation costs on a protected workshop or a protected workplace and to reimburse costs on transportation of the employees shall be granted to a legal or natural entity, if the entity applies for the allowance in writing at the latest by 31 July 2009. The allowance of a maximum of 50% of the amounts stipulated by Article 60 (6) based on the documents evidencing the expensed costs pursuant to Article 60 (2) to (5) for the period from 1 January 2009 to 30 June 2009 shall be granted by the respective Office by 31 August 2009.

(2) For the period from 1 July 2009 to 30 September 2009, the allowance to reimburse operation costs on a protected workshop or a protected workplace and to reimburse costs on transportation of the employees shall be granted to a legal or natural entity, if the entity applies for the allowance in writing at the latest by 31 October 2009. The allowance of a maximum of 25% of the amounts stipulated by Article 60 (6) based on the documents evidencing the expensed costs pursuant to Article 60 (2) to (5) for the period from 1 July 2009 to 30 September 2009 shall be granted by the respective Office by 30 November 2009.

Temporary provision in respect of the amendment effective as of 1 December 2009

ARTICLE 72j

In the period from 1 December 2009 to 31 December 2010, fulfilment of the condition stipulating that an employee has to be registered in the register of job seekers for at least three months in case of a disadvantaged job seeker pursuant to Article 8 (1) letter a) shall not be required for the purposes of granting the allowance to encourage self-employment pursuant to Article 49. The allowance to encourage self-employment shall be granted at the earliest as of the day following the efficiency date of a decision on entering a job seeker into the register of job seekers.

Temporary provisions in respect of the amendment effective as of 1 March 2010

ARTICLE 72k

(1) The allowance pursuant to Article 50i shall be granted maximally by 31 December 2011.

(2) The proceedings began before 1 March 2010 which were not lawfully completed, shall be governed by the regulations effective by 28 February 2010.

ARTICLE 72l

(1) Activation in the form of lesser municipal services for a municipality pursuant to Article 52 may be repeatedly carried out by 31 December 2010 without any limitation as to the number of repeated activities.

(2) A job seeker pursuant to Article 52 (1), who participated in activation in the form of lesser municipal services for a municipality pursuant to Article 52 by 28 February 2010, including repetitive carrying out of the services, may be again hired for activation services without any limitation as to the number of repeated activities by 31 December 2010.

(3) Activation in the form of lesser municipal services for a municipality pursuant to paragraphs 1 and 2 may be carried out repeatedly for a maximum of six calendar months.

(4) In case of a repeated activation carried out in the form of lesser municipal services for a municipality pursuant to paragraphs 1 and 2, the allowance for activation in the form of lesser municipal services for a municipality shall be granted to reimburse partial costs related to carrying out of lesser municipal services for a municipality, once a month, in the maximum amount of 4%, and to reimburse a part of the total cost of labour of an employee organising lesser municipal services, once a month, in the maximum amount of 3% of the total cost of labour pursuant to Article 49 (4) calculated on the basis of the average wage of an employee in the Slovak economy, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted, per one long-term unemployed citizen carrying out lesser municipal services.

Temporary provision in respect of the amendment effective as of 1 June 2010

ARTICLE 72m

(1) The licence for paid employment mediation issued by the Central Office by 31 May 2010 shall cease to be effective as of 31 December 2010.

(2) By 31 December 2010, suspension of mediation activities and cancellation of the licence for paid employment mediation shall be governed by the legal regulation effective by 31 May 2010.

ARTICLE 72n

The allowance pursuant to Article 50j granted to deal with the consequences of an extraordinary situation declared pursuant to a special regulation⁵⁵) in the period from 1 May 2010 to the publication day of this Act may be applied for within six months of publication of this Act.

Temporary provision effective as of 1 December 2010

ARTICLE 72o

- (1) The allowance pursuant to Articles 50e to 50h shall be granted maximally by 31 December 2010.
- (2) The allowance pursuant to Article 50d shall be granted maximally by 31 December 2011.
- (3) The provision of Article 72g shall not apply as of 1 April 2010.

Temporary provisions in respect of the amendment effective as of 1 January 2011

ARTICLE 72p

(1) Granting of the allowance based on an agreement on granting the allowance to encourage employment of graduates of training and preparation for the labour market pursuant to Article 51a, concluded before 1 January 2011, shall be governed by the provisions effective by 31 December 2010.

(2) Granting of the allowance based on an agreement on granting the allowance to sustain a job of a handicapped citizen pursuant to Article 56a, concluded before 1 January 2011, shall be governed by the provisions effective by 1 January 2011.

(3) An employer shall be obliged, by 31 March 2011, to evidence payments for the purposes of fulfilment of the obligations pursuant to Article 63 (1) letter d) for 2010 by awarding a contract pursuant to Article 64 or by purchasing products or services pursuant to Article 64a effective by 31 December 2010.

ARTICLE 72r

Projects and schemes approved before 1 January 2011 pursuant to Article 54 effective by 31 December 2010 shall be completed pursuant to the provisions effective by 31 December 2010.

Temporary provisions for amendments in effect from 01 January 2012

ARTICLE 72s

The provision of the contribution under an agreement on the provision of the contribution to support employment in the implementation of measures for protection against floods and to deal with the effects of an extraordinary situation which was concluded before 01 January 2011 shall be regulated according to the provisions in effect until 31 December 2011.

Temporary provisions for amendments in effect from 01 May 2013

ARTICLE 72t

(1) Proceedings on the registration of a citizen in the register of jobseekers and proceedings on the removal of a jobseeker from the register of jobseekers begun before 01 May 2013 which have not been finally concluded shall be concluded according to regulations in effect to 30 April 2013.

(2) The provisions of article 72d(2) shall not be applied from 01 May 2013. If a natural person carried out the activities of a temporary employment agency or acted in the name of a legal entity that

carried out the activities of a temporary employment agency before 30 April 2013 in accordance with the regulations in effect to 30 April 2013 and he/she

- a) has not completed higher education, he/she can continue in the above activity until 31 December 2013 at the latest, and if by 30 April 2013 he/she has begun study leading to the acquisition of the second level of higher education or he/she begins such study by 31 December 2013, he/she can continue in the above activity until the end of study, at the latest until 31 December 2020,
- b) by 30 April 2013 has begun study leading to the acquisition of the first level of higher education or he/she begins such study by 31 December 2013, he/she can continue in the above activity until the end of study, at the latest until 31 December 2019, and if by 31 December 2019 he/she begins study leading to the acquisition of higher education of the second degree, he/she can continue in the above activity until the end of study, at the latest until 31 December 2024,
- c) has completed higher education of the first degree, but has not completed higher education of the second degree, he/she can continue in the above activity at the latest until 31 December 2019, and if by 31 December 2019 he/she begins study leading to the acquisition of higher education of the second degree, he/she can continue in the above activity until the end of study, at the latest until 31 December 2024.

(3) When providing reimbursement of a part of travel expenditure connected with specialised advice services pursuant to article 43(8) as effective to 30 April 2013 based on an application submitted before 01 May 2013, the procedure in effect to 30 April 2013 shall be followed.

(4) When providing benefits pursuant to article 48b as effective to 30 April 2013 to which a jobseeker or a citizen with a disability became entitled before 01 May 2013, the procedure in effect to 30 April 2013 shall be followed. Proceedings on the granting, withdrawal, increase, reduction, supplementary payment, termination of payment and return of benefit under section 48b which were begun before 01 May 2013 and not finally completed shall be completed according to the provisions in effect until 30 April 2013.

(5) Education and training for the labour market whose provision to a jobseeker began before 01 May 2013 shall be completed according to the provisions in effect until 30 April 2013. The provision of contributions and reimbursement of expenditure to a jobseeker pursuant to article 46(4), (6) and (9) as effective to 30 April 2013 based on an agreement concluded before 01 May 2013 shall follow the procedure laid down in provisions in effect until 30 April 2013.

(6) Education and training for the labour market whose provision to a person interested in employment began before 01 May 2013 shall be completed according to the provisions in effect until 30 April 2013. The provision of contributions and reimbursement of expenditure to a person interested in employment pursuant to article 46(5), (6) and (9) as effective to 30 April 2013 based on an agreement concluded before 01 May 2013 shall follow the procedure laid down in the provisions in effect until 30 April 2013.

(7) The provision of contributions under agreements on the provision of the contribution under articles 49, 49a, 50, 50a, 50c, 50i, 50j, 51, 52a, 55a, 56, 56a, 57, 57a and 59 as effective to 30 April 2013, which were concluded before 01 May 2013 shall follow the procedure laid down in provisions in effect until 30 April 2013.

(8) Provision of the contribution for travel to work pursuant to article 53 based on an application submitted before 01 May 2013 shall follow the procedure laid down in provisions in effect until 30 April 2013.

(9) If the status of a sheltered workshop or sheltered workplace was recognised by an office before 01 May 2013, it shall be deemed to have the status of a sheltered workshop or sheltered workplace under

this Act until the office cancels recognition of the status of a sheltered workshop or sheltered workplace pursuant to this Act, at the latest until 31 December 2014.

(10) The provision of the contribution under article 60 for the first quarter and second quarter of 2013 shall follow the procedure laid down in the provisions in effect until 30 April 2013.

(11) The procedure under this Act shall be applied to the fulfilment of an employer's obligations connection with the employment of citizens with disabilities pursuant to articles 63(1)(d), 64, 65 and 65a for the whole of the year 2013.

§ 72u

Transitional provisions for regulations effective from 1 January 2014

(1) Confirmation of the possibility of filling the vacancy, which corresponds to highly qualified employment issued before 1 January 2014 in accordance with regulations in force until 31 December 2013 is considered to be an acknowledgment of the possibility of filling the vacancy, which corresponds to highly qualified employment, which includes consent to his occupation, pursuant to § 21a as in force on 1 January 2014.

(2) The Centre Office of Labour, Social Affairs and Family (hereinafter "Centre") will consider a request for a certificate of the possibility of filling the vacancy, which corresponds to highly qualified employment, made before 1 January 2014 in accordance with regulations in force until 31 December 2013. Confirmation of the possibility of filling the vacancy, which corresponds to highly qualified employment issued at the request of the first sentence shall be deemed to confirm the possibility of filling the vacancy, which corresponds to highly qualified employment, which includes consent to the occupation, according to § 21a as in force on 1 January 2014.

(3) Confirmation of the possibility of filling the vacancy is required in a third country national who is 31 December 2013 employed in the territory of the Slovak Republic in accordance with regulations in force until December 31, 2013, is granted a work permit and granted temporary residence for the purpose of employment, up to expiration of the permit.

(4) The Office shall consider the application for a work permit submitted before 1 January 2014 in accordance with regulations in force until 31 December 2013. The work permit issued at the request of the first sentence for the purposes of § 21b considered as an acknowledgment of the possibility of filling the vacancy which includes consent to the occupation.

(5) The work permit is not required for third-country national who is 31 December 2013 employed in the territory of the Slovak Republic in accordance with regulations in force until 31 December 2013, has granted temporary residence for family reunification and continuous residence in the territory of Slovakia Republic of granting temporary residence for family reunification does not exceed 12 months, until the end of the employment relationship.

(6) A work permit is not required for third-country national who is 31 December 2013 employed in the territory of the Slovak Republic in accordance with regulations in force until 31 December 2013 has the status of long-term resident in a Member State of the European Union and its continuous residence in the Slovak Republic does not exceed 12 months, until the end of the employment relationship.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

(7) For the purposes of § 22. 8 as amended effective January 1, 2014 under a contract under which a third-country national seconded to perform work in the territory of the Slovak Republic, considered an extension to the contract entered into prior to January 1, 2014, which provides for a number of professions posted workers and their period of secondment, concluded after 31 December 2013.

(8) The Authority will consider a request for an extension of the work permit filed before 1 January 2014 in accordance with regulations in force until 31 December 2013. The extension of the work permit issued at the request of the first sentence for the purposes of § 21b considered as an acknowledgment of the possibility of filling the vacancy, which includes consent to the occupation.